

## NOTES TO FINANCIAL STATEMENTS

(All amounts in Philippine Peso unless otherwise stated)  
(With Corresponding Figures for Calendar Year 2023 Restated)

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### Note 1 – Profile

The City of Manila was founded on June 24, 1571 as a municipal government. It became the first chartered city by virtue of the Philippine Commission Act No. 183 on July 31, 1901, and gained autonomy with the passage of Republic Act (RA) No. 409 in the “Revised Charter of the City of Manila” on June 18, 1949. The enactment of RA No. 7160, “The Local Government Code of 1991” empowered the City along with all Local Government Units (LGUs).

It is located in the eastern shores of Manila Bay, which rests on the western shores of Luzon. The City of Manila lies 800 miles (1,300 kilometers) from mainland Asia having a total area of 42.88 square kilometers (16.59 sq. m.) with a population of 1,846,462 as of Calendar Year (CY) 2020 census.

It has six legislative districts, and is divided into 897 Barangays that serve as the constituencies for the election of the City’s Representative to the lower house of Congress of the Philippines and of the regular members to the *Sangguniang Panlungsod* (SP). Each district elects one representative to the House of Representative and six SP members to the council.

Being the capital city of the Philippines, the City of Manila is a major center for education, banking and finance, retailing, transportation, tourism, real estate, news media as well as traditional media, advertising, legal services, accountancy, insurance, theatre, fashion, and the arts in the Philippines. Tourism is one of the vital industries in Manila with approximately over 1 million tourists each year.

Under the present administration, the City of Manila set the **ASENSO CLUSTER AGENDA** as incorporated in the Manila Comprehensive Development Plan for CYs 2020-2030:

1. **AMELIORATION** | Inclusive Social Services and Poverty Alleviation
  - Achieving broad access to intensified social services by providing amelioration to the marginalized and vulnerable citizen towards an Inclusive City with a cultivated spirit of people-helping-people Manileños.
2. **STABILITY** | Local Competitiveness and Transportation
  - Strengthening linkages with the business sector by creating a business-friendly environment with increase ease of doing business and improved traffic condition towards a more Competitive Progressive Manila.
3. **ECOSYSTEM** | Resiliency and Urban Ecology: Green Building and Open Spaces

- Enriching the balance of Urban Ecology by harmonizing the relationship between the natural and built environment towards a Resilient, Green and Sustainable City of Manila.
4. **NOBILITY** | Urban Renewal, Tourism and Heritage
    - Nurturing the City's Pride-of-Place as the Nation's cradle of history by revitalizing the cityscape and urban heritage towards a Vibrant and Magnificent Manila.
  5. **SMART** | Technology-oriented Infrastructure and Operations
    - Synchronizing infrastructure and operational needs with smart practices and strategic use of convergent technologies enabled by ICT towards a Smart City of Manila – interconnected, innovate and intelligent.
  6. **ORDER** | Open Participatory Government and Public Order and Safety
    - Optimizing participatory of the citizenry and other stakeholders in all stages of collaborative governance fostering peace and order and transparency and accountability towards a safe, orderly and "GOD-FIRST" Manila.

**Note 2 – Statement of Compliance and Basis of Preparation of Financial Statements**

The preparation and presentation of the Financial Statements is in accordance with the International Public Sector Accounting Standards (IPSAS), which is a shift from New Government Accounting System (NGAS). The combined Financial Statements are presented in Philippine Peso which is the functional and reporting currency of the City of Manila.

The City maintains the following funds for CY 2024:

1. General Fund
2. Special Education Fund
3. Trust Fund

During CY 2024, the City of Manila postponed the implementation of separate fund under COA Circular No. 2023-003 dated June 14, 2023 for Special Health Fund as mandated by the Universal Health Care Act of 2018, as the City is still waiting for the final guidelines for its implementation from oversight agencies.

### Note 3 – Summary of significant accounting policies

#### 3.1 Basis of accounting (IPSAS No. 1)

The combined Financial Statements are prepared on an accrual basis in accordance with the IPSAS.

#### 3.2 Interest in Joint Venture (IPSAS No. 8)

The City of Manila, thru City Council Ordinance No. 8346 series of 2014, has entered into 14 joint ventures (JVs) with private sector partners consisting of six public market JVs, five reclamation projects, one redevelopment project, one development project, and one Dialysis Center project. The reclamation projects and the South Cemetery have not materialized to date, thus, only eight JVs are active.

The market JV projects consist of the redevelopment, management, and operation of the said markets into modern ones. The reclamation projects aim to provide the City with additional land area to accommodate the growing demands for industrial sites and it envisions rejuvenating Manila's old glory as the Pearl of the Pacific. The redevelopment of Harrison Plaza and Arroceros Compound are seen to provide additional revenue for the City, in the form of real property taxes, taxes and fees from businesses and establishments, sales revenue from the saleable units and lease revenue from the leasable units.

In accordance with IPSAS 8, the JVs are in the form of jointly controlled entities. Each of the JVA involved the establishment of an entity in which each venturer has an interest and joint control over the activities of such entity. Also, the City of Manila recognizes its interest in the JVs using Equity method in which it recognizes in the *Investment in Joint Venture* account the shares in the JV income in period for which it is received.

| Project              | JVA Date           | Resolution Date<br>Ratifying the JVA | Term of<br>JVA | City's Interest                                                                                                                                                                                                                                                               |
|----------------------|--------------------|--------------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.Sta. Ana<br>Market | August 20,<br>2015 | September 10, 2015                   | 25<br>years    | City's share<br>whichever is the<br>highest:<br>a. Guaranteed<br>Annual Revenue<br>share of<br>P1.5 million with<br>an annual<br>increase of 2%<br>for years 2 to 10;<br>3% for years 11<br>to 25;<br>b. 5% of rental<br>revenues for<br>years 1 to 10; 6%<br>for years 11 to |

| Project             | JVA Date        | Resolution Date<br>Ratifying the JVA | Term of<br>JVA | City's Interest                                                                                                                                                                                                                                                                                                               |
|---------------------|-----------------|--------------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                     |                 |                                      |                | 20; 7% for years 21 onwards; or<br>c. 12% of net income before tax after depreciation.                                                                                                                                                                                                                                        |
| 2.San Andres Market | August 20, 2015 | September 10, 2015                   | 25 years       | City's share whichever is the highest:<br>a. Guaranteed Annual Revenue share of P1.5 million with an annual increase of 2% for years 2 to 10; 3% for years 11 to 25;<br>b. 5% of rental revenues for years 1 to 10; 6% for years 11 to 20; 7% for years 21 onwards; or<br>c. 12% of net income before tax after depreciation. |
| 3.Sampaloc Market   | August 20, 2015 | September 10, 2015                   | 25 years       | City's share whichever is the highest:<br>a. Guaranteed Annual Revenue share of P1.5 million with an annual increase of 2% for years 2 to 10; 3% for years 11 to 25;<br>b. 5% of rental revenues for years 1 to 10; 6% for years 11 to 20; 7% for years 21 onwards; or<br>c. 12% of net income before tax after depreciation. |

| <b>Project</b>                                                              | <b>JVA Date</b>  | <b>Resolution Date<br/>Ratifying the JVA</b> | <b>Term of<br/>JVA</b> | <b>City's Interest</b>                                                                                                                                                                                                                                                                                                           |
|-----------------------------------------------------------------------------|------------------|----------------------------------------------|------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4. Quinta Market                                                            | June 16, 2015    | June 16, 2015                                | 25 years               | City's share whichever is the highest of:<br>a. Guaranteed Annual Revenue share of P6 million with annual increase of 3%;<br>b. 15% of gross revenues; or<br>c. 30% of net income before tax.                                                                                                                                    |
| 5. Paco Market                                                              | March 5, 2018    | May 31, 2018                                 | 25 years               | City's share whichever is the highest of:<br>a. Guaranteed Annual Revenue share of P1.5 million with an annual increase of 2% for years 2 to 10; 3% for years 11 to 25;<br>b. 5% of rental revenues for years 1 to 10; 6% for years 11 to 20; 7% for years 21 onwards; or<br>c. 12% of net income before tax after depreciation. |
| 6. Trabajo Public Market                                                    | *                | *                                            | *                      | *                                                                                                                                                                                                                                                                                                                                |
| 7. Dialysis Center in Gat Andres Bonifacio Memorial Medical Center (GABMMC) | October 13, 2014 | December 16, 2014                            | 15 years               | City of Manila thru GABMMC share:<br><br>25% standard treatment rate, net of PF or P150,000.00 per month whichever is higher.                                                                                                                                                                                                    |
| 8. Arroceros Compound Mixed Used Development Project                        | June 16, 2017    | June 16, 2017                                | 7 years                | 1.(a) Government Center Development with approximate value of P700,575,000.00 which shall be                                                                                                                                                                                                                                     |

| Project | JVA Date | Resolution Date<br>Ratifying the JVA | Term of<br>JVA | City's Interest                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|---------|----------|--------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         |          |                                      |                | <p>turned over to the City upon completion of phase 1 of the project;</p> <p>(b) lot on which the government center stands with an approximate value of P31.5 million</p> <p>(c) 1 Floor of the Office Tower Development with an approximate value of P199,738,000.00</p> <p>(d) 1 Floor of 1 bedroom units from the residential tower with an approximate value of P117,248,000.00</p> <p>(e) proportionate share in the net lease income of the mall development or a guaranteed income of P6 million on the 1st year with an annual escalation of 5%</p> <p>2. Prorated Interest in the Project Development before commencement of operation</p> |

\* For further verification of details

In the redevelopment of the Arroceros Compound into a mixed residential-mall-office complex with enhanced recreational area with support facilities, the JVA provides the City's share in the project which includes possible assets which are expected to flow to the entity to wit:

- a) One Government Center Development with approximate value of P700.575 million which shall be turned over to the City upon completion of Phase 1 of the project;
- b) Lot on which the government center stands with an approximate value of P31.5 million;
- c) One Floor of the Office Tower Development with an approximate value of P199.738 million;
- d) One Floor of one-bedroom units from the residential tower with an approximate value of P117.248 million.

### **3.3 Revenue recognition (IPSAS No. 9)**

#### **Revenue from non-exchange transactions**

##### *Taxes, fines, and penalties*

The City of Manila recognizes revenues from fees, taxes and fines when the event occurs and the asset recognition criteria are met. To the extent that there is a related condition attached that would give rise to a liability to repay the amount, liability is recognized instead of revenue. Other non-exchange revenues are recognized when it is probable that the future economic benefit or service potential associated with the asset will flow to the entity and the fair value of the asset can be measured reliably.

##### *Transfers from other government entities*

Revenues from non-exchange transactions with other government entities are measured at fair value and recognized upon obtaining control of the asset (Share from Internal Revenue Collection, Share from Expanded Value Added Tax (EVAT) collection and Grants and Donation) if the transfer is free from conditions and it is probable that the economic benefits or service potential related to the asset will flow to the City and can be measured reliably.

#### **Revenue from exchange transactions**

##### *Interest income*

Interest income is accrued using the effective yield method. The effective yield discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount. The method applies this yield to the principal outstanding to determine interest income each period.

The time value of money is now being taken into account as of the date of reporting.

For CY 2024, the City earned interest income amounting to P14.822 million.

#### *Rental income*

Rental income arising from operating leases on investment properties is accounted for on a straight-line basis over the lease terms and included in revenue.

For CY 2024, the City earned rent income amounting to P52.911 million.

### **3.4 Investment Property (IPSAS No. 16)**

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the replacement cost of components of an existing investment property at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day maintenance of an investment property.

Investment property acquired through a non-exchange transaction is measured at its fair value at the date of acquisition. Subsequent to initial recognition, investment properties are measured using the cost model.

Investment properties are derecognized either when they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit or service potential is expected from its disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognized in the surplus or deficit in the period of derecognition. Transfers are made to or from investment property only when there is a change in use.

As at December 31, 2024, the carrying amount of the Investment Property of the City amounted to P248.91 million.

### **3.5 Property, Plant and Equipment (IPSAS No. 17)**

All property, plant and equipment (PPE) are stated at cost less accumulated depreciation and impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the items. When significant parts of PPE are required to be replaced at intervals, the City of Manila recognizes such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in surplus or deficit as incurred. Where an asset is acquired in a non-exchange transaction, the asset is initially measured at its fair value.

Depreciation on assets is charged on a straight-line basis over the useful life of the asset.



A residual value equivalent to ten percent of the cost was set-up and depreciation started on the following month after purchase/completion of the PPE. The City does not provide depreciation for public infrastructures.

The City provided the residual value of all items of PPE, but does not expect a residual value of these assets, because these will be utilized for their entire economic lives and do not have a significant scrap value. During the current financial year, the City reviewed the estimated useful lives and residual values of PPE, where appropriate.

The useful life of PPE is measured as follows:

| <b>PPE</b>                    | <b>Estimated Useful Life</b>                                                                                                         |
|-------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|
| Land Improvements             | Over the useful life of the assets to which the improvement was made or the useful life of the improvement if significantly shorter. |
| Infrastructure Assets         |                                                                                                                                      |
| Road Networks                 |                                                                                                                                      |
| Newly Constructed Pavements   | 10-20 years                                                                                                                          |
| Other Public Infrastructures  | 15-25 years                                                                                                                          |
| Building and Other Structures | 20-30 years                                                                                                                          |
| Machinery and Equipment       | 5-15 years                                                                                                                           |
| Transportation Equipment:     |                                                                                                                                      |
| Motor Vehicle                 | 5-15 years                                                                                                                           |
| Ships and Boats               | 10-25 years                                                                                                                          |
| Furniture, Fixtures and Books | 2-15 years                                                                                                                           |
| Other PPE                     | 2-15 years                                                                                                                           |

*PPE refers to tangible assets that are:*

- purchased, constructed, developed or otherwise acquired;
- held for use in the production or supply of goods or services or to produce program outputs, for rental to others (other than investment property), and for administrative purposes;
- expected to be used for more than one reporting period; and
- not intended for resale in the ordinary course of operations.

#### *Criteria for Recognition*

The cost of an item of PPE shall be recognized as assets if all of the following criteria are present:

- it is probable that the future economic benefits or service potential associated with the item will flow to the LGU;
- the cost or fair value of the item can be measured reliably; and
- beneficial ownership and control clearly rest with the government.

### *Measurement at Recognition*

PPE that qualifies for recognition as an asset shall be measured at cost. Where the PPE is acquired through a non-exchange transaction, its cost shall be measured as its fair value as at the date of acquisition.

### *Elements of Cost*

The following elements comprise the cost of an item of PPE:

- a. Purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates;
- b. Any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Examples of directly attributable costs are:
  - i. Costs of employee benefits arising directly from the construction or acquisition of the item of PPE;
  - ii. Costs of site preparation;
  - iii. Initial delivery and handling costs;
  - iv. Installation and assembly costs;
  - v. Costs of testing whether the asset is functioning properly, after deducting the net proceeds from selling any items produced while bringing the asset to that location and condition (such as samples produced when testing equipment); and
  - vi. Professional fees
- c. The initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located, the obligation for which an LGU incurs either when the item is acquired, or as a consequence of having used the item during a particular period for purposes other than to produce inventories during that period.
- d. Administrative and other general overhead costs are not considered costs of an item of property, plant, and equipment.

## **3.6 Leases**

### *City as a lessee*

Leases in which the lessor retains the significant risks and rewards of ownership over the property, thus, accounts for the agreement as an operating lease.

Operating lease payments are recognized as expense on a straight-line basis over the lease term

### *City as a lessor*

Leases in which the City does not transfer substantially all the risks and benefits of ownership of an asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognized over the lease term.

Rent received from an operating lease is recognized as income on a straight-line basis over the lease term. Contingent rents are recognized as revenue in the period in which they are earned.

## **Financial instruments**

### **Financial assets**

#### *Initial recognition and measurement*

Financial assets are classified as financial assets at fair value through surplus or deficit, loans and receivables, held-to-maturity investments or available-for-sale financial assets, as appropriate. The City determines the classification of its financial assets at initial recognition.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognized on the trade date, i.e., the date that the City commits to purchase or sell the asset.

The City of Manila financial assets include: cash and short-term deposits; trade and other receivables; and quoted and unquoted financial instruments.

#### *Subsequent measurement*

The subsequent measurement of financial assets depends on their classification.

#### *Financial assets at fair value through surplus or deficit*

Financial assets at fair value through surplus or deficit include financial assets held for trading and financial assets designated upon initial recognition at fair value through surplus and deficit. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets at fair value through surplus or deficit are carried in the statement of financial position at fair value with changes in fair value recognized in surplus or deficit.

#### *Loans and receivables*

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. Losses arising from impairment are recognized in the surplus or deficit.

### *Derecognition*

The City derecognizes a financial asset or, where applicable, a part of a financial asset or part of a group of similar financial assets when:

- a) The rights to receive cash flows from the asset have expired or is waived; and
- b) The City has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party; and either: (a) the City has transferred substantially all the risks and rewards of the asset; or (b) the City has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

### *Impairment of financial assets*

The City assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated. Evidence of impairment may include the following indicators:

- a) The debtors or a group of debtors are experiencing significant financial difficulty;
- b) Default or delinquency in interest or principal payments;
- c) The probability that debtors will enter bankruptcy or other financial reorganization; and
- d) Observable data indicates a measurable decrease in estimated future cash flows (e.g. changes in arrears or economic conditions that correlate with defaults).

## **Financial liabilities**

### *Initial recognition and measurement*

Financial liabilities within the scope of IPSAS 29 are classified as financial liabilities at fair value through surplus or deficit or loans and borrowings, as appropriate. The City determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings, plus directly attributable transaction costs.

The City's financial liabilities include trade and other payables, bank overdrafts, loans and borrowings.

#### *Subsequent measurement*

The measurement of financial liabilities depends on their classification.

#### *Loans and borrowings*

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest method. Gains and losses are recognized in surplus or deficit when the liabilities are derecognized as well as through the effective interest method amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate.

#### *Derecognition*

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in surplus or deficit.

#### *Offsetting of financial instruments*

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

### **3.7 Cash and cash equivalents**

Cash and cash equivalents comprise cash on hand and cash in bank, time deposits and highly liquid investments with an original maturity of three months or less, which are readily convertible to known amounts of cash and are subject to insignificant risk of changes in value. For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts.

### **3.8 Inventories**

Inventory is measured at cost upon initial recognition. To the extent that inventory was received through non-exchange transactions (for no cost or for a nominal cost), the cost of the inventory is its fair value at the date of acquisition.

After initial recognition, inventory is measured at the lower of cost and net realizable value (NRV). However, to the extent that a class of inventory is distributed or deployed at no charge or for a nominal charge, that class of inventory is measured at the lower of cost and current replacement cost.

NRV is the estimated selling price in the ordinary course of operations, less the estimated costs of completion and the estimated costs necessary to make the sale, exchange, or distribution. Inventories are recognized as an expense when deployed for utilization or consumption in the ordinary course of operations of the City.

### **3.9 Provisions**

Provisions are recognized when the City has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Where the City expects some or all of a provision to be reimbursed, for example, under an insurance contract, the reimbursement is recognized as a separate asset only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the statement of financial performance net of any reimbursement.

#### *Contingent liabilities*

The City does not recognize a contingent liability, but discloses details of any contingencies in the notes to the financial statements, unless the possibility of an outflow of resources embodying economic benefits or service potential is remote.

#### *Contingent assets*

The City does not recognize a contingent asset, but discloses details of a possible asset whose existence is contingent on the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the City in the notes to the financial statements. Contingent assets are assessed continually to ensure that developments are appropriately reflected in the financial statements. If it has become virtually certain that an inflow of economic benefits or service potential will arise and the asset's value can be measured reliably, the asset and the related revenue are

recognized in the financial statements of the period in which the change occurs.

### **3.10 Changes in accounting policies and estimates**

The City recognizes the effects of changes in accounting policy retrospectively. The effects of changes in accounting policy are applied prospectively if retrospective application is impractical. On the other hand, changes in the useful life and residual value are changes in accounting estimate, not accounting policy, hence, applied prospectively.

### **3.11 Borrowing costs**

Borrowing costs are capitalized against qualifying assets as part of property, plant and equipment. Such borrowing costs are capitalized over the period during which the asset is being acquired or constructed and borrowings have been incurred. Capitalization ceases when construction of the asset is complete. Further, borrowing costs are charged to the statement of financial performance.

### **3.12 Related parties**

The City regards a related party as a person or an entity with the ability to exert control individually or jointly, or to exercise significant influence over the City, or vice versa. Members of key management are regarded as related parties and comprise the Mayor, Vice-Mayor, SP Members, Committee Officials and Members, Accountant, Treasurer, Budget Officer, General Services Officer and all Chiefs of Departments/Divisions.

### **3.13 Service concession arrangements**

The City analyses all aspects of service concession arrangements that it enters into in determining the appropriate accounting treatment and disclosure requirements. In particular, where a private party contributes an asset to the arrangement, the City recognizes that asset when, and only when, it controls or regulates the services the operator must provide together with the asset, to whom it must provide them, and at what price. In the case of assets other than 'whole-of-life' assets, it controls, through ownership, beneficial entitlement or otherwise – any significant residual interest in the asset at the end of the arrangement. Any assets so recognized are measured at their fair value. To the extent that an asset has been recognized, the City also recognizes a corresponding liability, adjusted by a cash consideration paid or received.

### **3.14 Budget information**

The annual budget is prepared on the modified accrual basis, that is, all planned costs and income are presented in a single statement to determine the needs of the City. As a result of the adoption of the modified accrual basis for budgeting purposes, there are no basis, timing or entity differences

that would require reconciliation between the actual comparable amounts and the amounts presented as a separate additional financial statement in the statement of comparison of budget and actual amounts. Explanatory comments are provided in the notes to the annual financial statements; first, the reasons for overall growth or decline in the budget are stated, followed by details of overspending or under spending on line items.

### **3.15 Significant judgments and sources of estimation uncertainty**

#### *Judgments*

In the process of applying the City's accounting policies, management has made judgments, which have the most significant effect on the amounts recognized in the consolidated financial statements.

#### *Operating lease commitments – City as lessor*

The City has entered into property leases of certain of its properties. The City has determined, based on an evaluation of the terms and conditions of the arrangements, (such as the lease term not constituting a substantial portion of the economic life of the commercial property) that it retains all the significant risks and rewards of ownership of the properties and accounts for the contracts as operating leases.

#### *Estimates and assumptions*

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The City based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. However, existing circumstances and assumptions about future developments may change due to market changes or circumstances arising beyond the control of the City. Such changes are reflected in the assumptions when they occur.

#### *Useful lives and residual values*

The useful lives and residual values of assets are assessed using the following indicators to inform potential future use and value from disposal:

- a) The condition of the asset based on the assessment of experts employed by the City;
- b) The nature of the asset, its susceptibility and adaptability to changes in technology and processes;
- c) The nature of the processes in which the asset is deployed;
- d) Availability of funding to replace the asset; and



e) Changes in the market in relation to the asset

*Impairment of non-financial assets – cash-generating assets*

The recoverable amounts of cash-generating units and individual assets have been determined based on the higher of value-in-use calculations and fair values less costs to sell. These calculations require the use of estimates and assumptions. It is reasonably possible that the assumptions may change, which may then impact management's estimations and require a material adjustment to the carrying value of tangible assets.

The City reviews and tests the carrying value of assets when events or changes in circumstances suggest that the carrying amount may not be recoverable. Cash-generating assets are grouped at the lowest level for which identifiable cash flows are largely independent of cash flows of other assets and liabilities. If there are indications that impairment may have occurred, estimates of expected future cash flows are prepared for each group of assets. Expected future cash flows used to determine the value in use of tangible assets are inherently uncertain and could materially change over time.

*Impairment of non-financial assets – cash generating assets*

The City reviews and tests the carrying value of non-cash-generating assets when events or changes in circumstances suggest that there may be a reduction in the future service potential that can reasonably be expected to be derived from the asset. Where indicators of possible impairment are present, the City undertakes impairment tests, which require the determination of the fair value of the asset and its recoverable service amount. The estimation of these inputs into the calculation relies on the use of estimates and assumptions.

Any subsequent changes to the factors supporting these estimates and assumptions may have an impact on the reported carrying amount of the related asset.

*Fair value estimation – financial instruments*

Where the fair value of financial assets and financial liabilities recorded in the statement of financial position cannot be derived from active markets, their fair value is determined using valuation techniques including the discounted cash flow model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, judgment is required in establishing fair values. Judgment includes the consideration of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

### *Provisions*

Provisions were raised and management determined an estimate based on the information available. Provisions are measured at the management's best estimate of the expenditure required to settle the obligation at the reporting date, and are discounted to PV where the effect is material.

Assumptions were used in determining the provision for rehabilitation of landfill sites. Landfill areas are rehabilitated over the years and the assumption was made that the areas stay the same in size for a number of years. Provision is made for the estimated cost to be incurred on the long-term environmental obligations, comprising expenditure on pollution control and closure over the estimated life of the landfill. The provision is based on the advice and judgment of qualified engineers.

The estimates are discounted at a pre-tax discount rate that reflects current market assessments of the time value of money.

The increase in the rehabilitation provision due to passage of time is recognized as finance cost in the statement of financial performance.

The cost of ongoing programs to prevent and control pollution and rehabilitate the environment is recognized as an expense when incurred.

### *Held-to-maturity investments and loans and receivables*

The City assesses its loans and receivables (including trade receivables) and its held-to-maturity investments at the end of each reporting period. In determining whether an impairment loss should be recorded in surplus or deficit, the City evaluates the indicators present in the market to determine if those indicators are indicative of impairment in its loans and receivables or held-to-maturity investments.

Where specific impairments have not been identified the impairment for trade receivables, held-to-maturity investments and loans and receivables is calculated on a portfolio basis, based on historical loss ratios, adjusted for national and industry-specific economic conditions and other indicators present at the reporting date that correlate with defaults on the portfolio. These annual loss ratios are applied to loan balances in the portfolio and scaled to the estimated loss emergence period.

## **3.16 Financial instruments - financial risk management**

Exposure to currency, commodity, interest rate, liquidity and credit risks arises in the normal course of the City's operations. This note presents information about the City's exposure to each of the mentioned risks, policies and processes for measuring and managing risk, and the City's management of capital. Further quantitative disclosures are included throughout these financial statements. Fair values set out below, is a

comparison by class of the carrying amounts and fair value of the City's financial instruments.

The City is restricted to maintain its funds deposited to an Authorized Government Depository Banks under the following provisions:

- a) Section 311 of RA No. 7160 or the Local Government Code which provides that Local Treasurer shall maintain depository accounts in the name of their respective LGUs with banks, preferably government-owned, located in or nearest to their respective areas of jurisdiction; and
- b) Department Order No. 27-05 of the Department of Finance (DOF) also specifically provides that all Provincial, City and Municipal treasures, xxx, shall deposit their funds and maintain depository accounts with Land Bank of the Philippines (LBP) and Development Bank of the Philippines (DBP).

The fair value of the financial assets and liabilities are included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced sale or liquidation.

The following methods and assumptions were used to estimate the fair values:

- a) Cash and short-term deposits, receivables, trade payables and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments;
- b) Long-term fixed-rate and variable-rate receivables/borrowings are evaluated by the City based on parameters such as interest rates, specific country risk factors, and individual creditworthiness of the customer and the risk characteristics of the financed project. Based on this evaluation, allowances are taken to account for the incurred losses of these receivables and market related interest rates;
- c) Fair value of quoted notes and bonds is based on price quotations at the reporting date. The fair value of unquoted instruments, loans from banks and other financial liabilities, obligations under finance leases, as well as other non-current financial liabilities is estimated by discounting future cash flows using rates currently available for debt on similar terms, credit risk and remaining maturities;
- d) Fair value of financial assets is derived from quoted market prices in active markets, if available;
- e) Fair value of unquoted available-for-sale financial assets is estimated using appropriate valuation techniques.

### *Capital management*

The primary objective of managing the City's capital is to ensure that there is sufficient cash available to support the City's funding requirements, including capital expenditure, to ensure that the City remains financially sound. The City monitors capital using a gearing ratio, which is net debt, divided by total capital, plus net debt. In a capital-intensive industry, a gearing ratio of 54.5 percent or less can be considered reasonable. Included in net debt are interests bearing loans and borrowings, payables, less investments.

#### **Note 4 – Cash and Cash Equivalents**

| <b>Accounts</b>                                  | <b>2024</b>             | <b>2023</b>             |
|--------------------------------------------------|-------------------------|-------------------------|
| <b>Cash on Hand</b>                              |                         |                         |
| Cash Local Treasury                              | 2,370,523.04            | 61,874,250.44           |
| Petty Cash                                       | 9,864,573.62            | 5,220,618.83            |
| <b>Cash in Bank</b>                              |                         |                         |
| Cash in Bank - Local Currency, Current Account   | 8,071,734,233.38        | 8,763,236,872.93        |
| Cash in Bank - Foreign Currency, Savings Account | 257,912.20              | 257,912.20              |
| <b>Investments in Time Deposits</b>              |                         |                         |
| Cash in Bank - Local Currency, Time Deposits     | -                       | 473,824,793.47          |
| <b>Total</b>                                     | <b>8,084,227,242.24</b> | <b>9,304,414,447.87</b> |

The *Cash Local Treasury* account is used to record cash received by the City Treasurer's Office for deposit to the City's Authorized Government Depository Bank in the next banking day. Fewer cash collections from real property taxes, special education taxes, and refunds made during the last working day of December 2024 was the main cause of the decrease in the account. Such collections were deposited on January 2, 2025.

The *Petty Cash* account is used to record the cash advances granted to regular or special disbursing officers and for the payment of petty or miscellaneous authorized expenditures which cannot be conveniently paid by check. Bulk of the petty cash are maintained by petty cash custodians of the six district hospitals of the City which is being used to defray petty expenses for faster and efficient delivery of medical services.

The *Cash in Bank - Local Currency, Current Account* earns interest based on the prevailing bank deposit rates all throughout the year. The decrease in the account is mainly due to settlement of prior year obligations of the City.

The City maintained 63 current bank accounts in CY 2024, 46 of which are for trust deposits amounting to P144,907,567.35 held under expropriation cases initiated by the City of Manila under various ordinances for 236 properties. The said deposits will be used for payment of compensation for private properties that

were acquired by the City of Manila for public use, as mandated by Section 19 of RA No. 7160.

The *Cash in Bank - Foreign Currency, Savings Account* pertains to the deposit of recovered money during CY 2010 which remain unclaimed up to the present. The amount of recovered money is in Japanese Yen. This is in accordance to Section 719 of the New Civil Code of the Philippines, which provides that “possessor of found valuables if remains unknown, finder shall deposit with the mayor of the city or municipality where finding has taken place.”

The *Cash in Bank - Local Currency, Time Deposits* account consists of fixed term deposits with the DBP and LBP after covering the provisions for regular and recurring operating expenses. The LBP time deposits consist of a term of one month which are “rolled over” every month unless fully terminated. In CY 2024, the Management decided to terminate all of its time deposit bank accounts. The City maintained the two time deposit bank accounts during CY 2023 with an aggregate amount of P473,824,793.47 and interest rates ranging from 0.625 percent to 1.57 percent.

#### Note 5 – Investments

| <b>Accounts</b>                   | <b>2024</b>             | <b>2023</b>             |
|-----------------------------------|-------------------------|-------------------------|
| Financial Assets Held for Trading | 446,250.00              | 418,682.15              |
| Guaranty Deposits                 | 28,971,647.38           | 24,797,425.23           |
| Investments in Joint Venture      | 1,404,067,841.72        | 1,404,067,841.72        |
| <b>Total</b>                      | <b>1,433,485,739.10</b> | <b>1,429,283,949.10</b> |

The *Guaranty Deposits* is used to record amount deposited to guarantee compliance with the terms of an agreement by contractors and suppliers. It is equivalent to one percent of the gross value of their receivable.

The composition of the *Investments in Joint Venture* is as follows:

| <b>Project</b>         | <b>Amount</b>           |
|------------------------|-------------------------|
| Sta. Ana Market        | 73,790,400.00           |
| San Andres Market      | 47,593,600.00           |
| Sampaloc Market        | 30,368,000.00           |
| Trabajo Market         | 23,280,000.00           |
| Quinta Market          | 75,000,000.00           |
| Paco Market            | 135,987,807.05          |
| GABMMC Dialysis Center | 37,628,834.67           |
| Arroceros Compound     | 456,048,000.00          |
| Harrison Plaza-Maranaw | 524,371,200.00          |
| <b>Total</b>           | <b>1,404,067,841.72</b> |

**Note 6 – Receivables**

| <b>Accounts</b>                                          | <b>2024</b>              | <b>2023</b>              |
|----------------------------------------------------------|--------------------------|--------------------------|
| <b>Loans and Receivables Accounts</b>                    |                          |                          |
| Accounts Receivable                                      | 263,640,387.96           | 284,672,821.47           |
| Real Property Tax Receivable                             | 15,772,554,183.33        | 14,429,240,370.51        |
| Special Education Tax Receivable                         | 10,884,663,517.44        | 7,621,729,979.29         |
| Loans Receivable - Others                                | 199,681,970.59           | 199,681,970.59           |
| <b>Subtotal</b>                                          | <b>27,120,540,059.32</b> | <b>22,535,325,141.86</b> |
| <b>Lease Receivables</b>                                 |                          |                          |
| Operating Lease Receivable                               | 77,358,375.75            | 77,358,375.75            |
| <b>Subtotal</b>                                          | <b>77,358,375.75</b>     | <b>77,358,375.75</b>     |
| <b>Inter-Agency Receivables</b>                          |                          |                          |
| Due from National Government Agencies                    | 512,049,932.25           | 488,035,906.34           |
| Due from Government-Owned and/or Controlled Corporations | 42,419,678.27            | 40,196,650.27            |
| Due from Local Government Units                          | 77,717,364.94            | 77,717,364.94            |
| Due from Joint Venture                                   | 60,480,238.70            | 60,484,568.70            |
| <b>Subtotal</b>                                          | <b>692,667,214.16</b>    | <b>666,434,490.25</b>    |
| <b>Intra-Agency Receivables</b>                          |                          |                          |
| Due from Other Funds                                     | 0.08                     | 0.06                     |
| <b>Subtotal</b>                                          | <b>0.08</b>              | <b>0.06</b>              |
| <b>Advances</b>                                          |                          |                          |
| Advances for Payroll                                     | 185,268,908.62           | 23,587,978.06            |
| Advances to Special Disbursing Officer                   | 170,269,856.30           | 149,079,916.90           |
| Advances for Officers and Employees                      | 2,985,532.92             | 3,207,090.26             |
| <b>Subtotal</b>                                          | <b>358,524,297.84</b>    | <b>175,874,985.22</b>    |
| <b>Other Receivables</b>                                 |                          |                          |
| Receivables - Disallowances/Charges                      | 1,972,954.21             | 1,972,954.21             |
| Due from Officers and Employees                          | 17,473.56                | 17,473.56                |
| Other Receivables                                        | 1,305,526,867.20         | 1,306,354,067.20         |
| <b>Subtotal</b>                                          | <b>1,307,517,294.97</b>  | <b>1,308,344,494.97</b>  |
| <b>Total</b>                                             | <b>29,556,607,242.12</b> | <b>24,763,337,488.11</b> |

*Accounts Receivable* includes receivables from 142 unit owners of Condominiums in Manila City amounting to P213,933,841.72. These units were awarded and sold to the qualified employees of the City. Also included in the account is P24,365,505.00 representing the unpaid balance from qualified beneficiaries of E-Trikes.

*Real Property and Special Education Tax Receivables* pertain to unpaid balance of delinquent taxpayers that are subject to Real Property Tax.

The City Ordinance No. 8331, Section 64 states that:

*Real Property and Special Education Tax levied shall be collected within five (5) years from the date they become due. No action for the collection of the tax, whether administrative or judicial, shall be instituted after the expiration of such period...*

The increase in *Real Property and Special Education Tax Receivables* pertains to recognition of underassessment of Real Property Units.

The aging analysis of *Real Property Tax Receivable* is as follows:

| <b>Year</b>          | <b>Amount</b>            |
|----------------------|--------------------------|
| 2024                 | 1,343,313,812.82         |
| 2023                 | 3,041,168,738.24         |
| 2022                 | 4,364,010,014.78         |
| 2021                 | 1,634,164,548.11         |
| 2020 and prior years | 5,389,897,069.38         |
| <b>Total</b>         | <b>15,772,554,183.33</b> |

The aging analysis of *Special Education Tax Receivable* is as follows:

| <b>Year</b>          | <b>Amount</b>            |
|----------------------|--------------------------|
| 2024                 | 3,262,933,538.15         |
| 2023                 | 1,680,828,373.86         |
| 2022                 | 2,426,033,023.28         |
| 2021                 | 910,179,875.31           |
| 2020 and prior years | 2,604,688,706.84         |
| <b>Total</b>         | <b>10,884,663,517.44</b> |

The taxpayers shall be entitled to 10 to 20 percent discount for the prompt payment of Real Property Tax and Special Education Tax, provided, however, that such discount shall only be granted to properties without delinquency.

*Loans Receivable – Others* with a total amount of P199,681,970.59 has been dormant for three consecutive years. This account is mainly composed of receivables from land for the landless program of the City that are yet to be collected.

The table below shows the aging of the City's Loans and Receivables Accounts as at December 31, 2024:

| <b>Account</b>      | <b>Less than 1 year</b> | <b>More than 1 year</b> | <b>Total</b>   |
|---------------------|-------------------------|-------------------------|----------------|
| Accounts Receivable | -                       | 263,640,387.96          | 263,640,387.96 |
| Loans Receivable -  | -                       | 199,681,970.59          | 199,681,970.59 |
| Others              |                         |                         |                |

*Operating Lease Receivable* represents unpaid rentals from tenants of property units leased out by the City of Manila, as of December 31, 2024, to wit:

| <b>Real Property Units</b>                                 | <b>No. of Lessees</b> |
|------------------------------------------------------------|-----------------------|
| Real estate including office spaces leased to Corporations | 19                    |
| Underpass stalls                                           | 34                    |
| Residential Lots                                           | 350                   |
| <b>Total</b>                                               | <b>403</b>            |

The locations of the operating lease of the City are as follows:

| <b>No.</b> | <b>Property Location</b>                                                |
|------------|-------------------------------------------------------------------------|
| 1.         | Lacson Underpass                                                        |
| 2.         | Lawton, Manila                                                          |
| 3.         | Divisoria Market                                                        |
| 4.         | Lawton, Manila                                                          |
| 5.         | 883 Cristobal St., Paco, Manila                                         |
| 6.         | Ongpin St., corner G. Puyat St., Sta. Cruz, Manila                      |
| 7.         | 11/88 Shopping Mall 4F Reina Regente, cor. Felipe Sts., Binondo, Manila |
| 8.         | 1388 CM Recto corner T. Alonzo, Sta. Cruz, Manila                       |
| 9.         | Lawton, Manila                                                          |
| 10.        | Block 610 Maytubig St. Brgy 719, Malate, Manila                         |
| 11.        | Kartilya ng Katipunan, Arroceros, Ermita, Manila                        |
| 12.        | South Road Drive, TM Kalaw Extension, Luneta, Manila                    |
| 13.        | Adriatico St., Malate, Manila                                           |
| 14.        | 1007 Onpin St., Sta. Cruz, Manila                                       |
| 15.        | 514 Rizal Ave., Sta. Cruz, Manila                                       |
| 16.        | City Hall Building, Ermita Manila                                       |
| 17.        | 121 Arzobispo St., Intramuros, Manila                                   |

The lease contracts have a 25-year term covering the office spaces with fixed payment scheme subject to readjustment at the rate of five to 20 percent every one to three years. The responsibility for the repair and maintenance of the commercial building shall be for the account of the tenant.

Underpasses under operating lease of the City are as follows:

| <b>Location</b>         | <b>No. of Lessees</b> |
|-------------------------|-----------------------|
| Recto Underpass         | 15                    |
| Isetann Recto Underpass | 19                    |
| <b>Total</b>            | <b>34</b>             |

Below is the summary of tenants per residential location as of December 31, 2024:

| <b>Residential Location</b> | <b>No. of Tenants</b> |
|-----------------------------|-----------------------|
| Blumentritt                 | 12                    |
| Herbosa Trinidad            | 64                    |
| Tondo                       | 70                    |
| Quezon Boulevard            | 11                    |
| Quiapo Bilibid Viejo        | 14                    |
| Tahanang Maharlika I        | 21                    |
| Tahanang Maharlika II       | 14                    |



| <b>Residential Location</b> | <b>No. of Tenants</b> |
|-----------------------------|-----------------------|
| Tahanang Maharlika III      | 26                    |
| Sta. Cruz                   | 21                    |
| San Nicolas                 | 23                    |
| Ongsiako                    | 8                     |
| San Rafael                  | 15                    |
| Pandacan                    | 12                    |
| Sampaloc                    | 12                    |
| Paco                        | 6                     |
| Binondo                     | 14                    |
| Taft Avenue                 | 7                     |
| <b>Total</b>                | <b>350</b>            |

The table below shows the aging of the City's Lease Receivables as at December 31, 2024:

| <b>Account</b>             | <b>Less than 1 year</b> | <b>More than 1 year</b> | <b>Total</b>  |
|----------------------------|-------------------------|-------------------------|---------------|
| Operating Lease Receivable | -                       | 77,358,375.75           | 77,358,375.75 |

The *Due from National Government Agencies* is used to record advance payment for procured supplies, materials, and accountable forms from government agencies such as Department of Budget and Management (DBM), National Printing Office, Bureau of Internal Revenue (BIR) and Philippine Statistics Authority which are undelivered at year-end.

The increase in *Due from Government-Owned and/or Controlled Corporations* significantly pertains to receivables from Philippine Health Insurance Corporation (PHIC) regarding hospital fees that are already billed by the district hospitals but uncollected by the city at year-end. The account also includes advance payment for procured postage stamps from Philippine Postal Corporation which are also undelivered at year-end.

*Due from Local Government Units* amounting to P77,717,364.94 has been also dormant for three consecutive years. The City did not engage in any financial activities in relation to other LGUs. This account is used to record amount of advances for purchase of goods/services as authorized by law, fund transfers to other LGUs for implementation of projects, share from other LGUs income and other receivables.

The table below show the aging of the City's Inter-Agency Receivables as at December 31, 2024:

| <b>Account</b>                                           | <b>Less than 1 year</b> | <b>More than 1 year</b> | <b>Total</b>   |
|----------------------------------------------------------|-------------------------|-------------------------|----------------|
| Due from National Government Agencies                    | 24,014,025.91           | 488,035,906.34          | 512,049,932.25 |
| Due from Government-Owned and/or Controlled Corporations | 2,223,028.00            | 40,196,650.27           | 42,419,678.27  |

| <b>Account</b>                  | <b>Less than 1<br/>year</b> | <b>More than 1<br/>year</b> | <b>Total</b>  |
|---------------------------------|-----------------------------|-----------------------------|---------------|
| Due from Local Government Units | -                           | 77,717,364.94               | 77,717,364.94 |
| Due from Joint Venture          | -                           | 60,480,238.70               | 60,480,238.70 |

The total receivables and payables did not include the Intra-Agency Receivables and Payables amounting to P5,292,729,661.78 which are eliminated in the process of consolidation.

Offsetting of reciprocal accounts Due from Other Funds and Due to Other Funds for CY 2024 are shown as follows:

| <b>Accounts</b>                               | <b>Total</b>     | <b>GF</b>                 | <b>SEF</b>              | <b>TF</b>               |
|-----------------------------------------------|------------------|---------------------------|-------------------------|-------------------------|
| Due from Other Funds                          | 5,292,729,661.84 | 1,416,453,798.31          | 1,122,413,860.58        | 2,753,862,002.95        |
| Due to Other Funds                            | 5,292,729,661.76 | 3,849,131,439.80          | 88,795,538.69           | 1,354,802,683.27        |
| <b>Net Amount - Due From (To) Other Funds</b> | <b>0.08</b>      | <b>(2,432,677,641.49)</b> | <b>1,033,618,321.89</b> | <b>1,399,059,319.68</b> |

The *Advances for Payroll* represents cash advances granted to disbursing officers for salaries and wages and other personnel benefits of officers and employees. The increase in this account mainly pertains to cash advances that are yet to be liquidated as of December 31, 2024, which have been liquidated in early January 2025.

The *Advances to Special Disbursing Officer* is granted for the payments of current operating expenditures as well as legally authorized payments for specific purposes. This account includes cash advance for confidential expenses and for City intelligence security program of former Secretary to the Mayor and which is already requested for write-off.

The *Advances for Officers and Employees* account consists of cash advances granted for travel, seminars, and training expenses.

The table shows the aging of the City's Advances as at December 31, 2024:

| <b>Account</b>                          | <b>Less than 1 year</b> | <b>More than 1 year</b> | <b>Total</b>   |
|-----------------------------------------|-------------------------|-------------------------|----------------|
| Advances for Payroll                    | 161,680,930.56          | 23,587,978.06           | 185,268,908.62 |
| Advances for Special Disbursing Officer | 35,974,704.34           | 134,295,151.96          | 170,269,856.30 |
| Advances for Officers and Employees     | -                       | 2,985,532.92            | 2,985,532.92   |

*Other Receivables* include receivables arising from the derecognition of joint venture pertaining to Harrison Plaza Redevelopment Project. Decrease in this account pertains to the collection of such receivable.

The succeeding table shows the aging of the City's Other Receivables as at December 31, 2024:

| <b>Account</b>                     | <b>Less than 1 year</b> | <b>More than 1 year</b> | <b>Total</b>     |
|------------------------------------|-------------------------|-------------------------|------------------|
| Receivables                        | -                       | -                       | 1,972,954.21     |
| Disallowances/<br>Charges          |                         |                         |                  |
| Due from Officers and<br>Employees | -                       | 17,473.56               | 17,473.56        |
| Other Receivables                  | -                       | 1,305,526,867.26        | 1,305,526,867.26 |

**Note 7 – Inventories**

| <b>Accounts</b>                                      | <b>2024</b>           | <b>2023</b>           |
|------------------------------------------------------|-----------------------|-----------------------|
| <b>Inventory Held for Sale</b>                       |                       |                       |
| Merchandise Inventory                                | 16,000,000.00         | 29,816,855.50         |
| <b>Inventory Held for Distribution</b>               |                       |                       |
| Welfare Goods for Distribution                       | -                     | 3,032,200.00          |
| <b>Inventory Held for Consumption</b>                |                       |                       |
| Office Supplies Inventory                            | 16,060,588.19         | 25,339,855.06         |
| Accountable Forms, Plates and<br>Stickers            | 1,653,850.50          | 2,354,220.00          |
| Animal/Zoological Supplies Inventory                 | 1,252,524.00          | 451,800.00            |
| Food Supplies Inventory                              | 8,316,576.75          | 8,920,776.85          |
| Drugs and Medicines Inventory                        | 52,660,807.00         | 37,478,556.90         |
| Medical, Dental and Laboratory<br>Supplies Inventory | 53,028,791.44         | 112,734,614.50        |
| Fuel, Oil and Lubricants Inventory                   | 6,600,962.90          | 6,288,620.49          |
| Construction Materials Inventory                     | 518,543.00            | 4,481,605.00          |
| Other Supplies and Materials Inventory               | 153,814,885.22        | 49,481,278.36         |
| <b>Total</b>                                         | <b>309,907,529.00</b> | <b>280,380,382.66</b> |

The decrease in *Merchandise Inventory* account pertains to adjustment on the value of the parking lot and distribution of the latter.

The decrease in *Welfare Goods for Distribution* account pertains to fully distribution of grocery packages for Social Amelioration program as of December 31, 2024.

The decrease in *Office Supplies Inventory, accountable Inventory* account is due to massive consumption of office supplies and accountable forms of various offices for general and administrative purposes for CY 2024.

The increase in *Animal/Zoological Supplies Inventory* is due to higher procurement of supplies and inventories needed for general welfare of Animals in Manila Zoo.

The increase in *Drugs and Medicines Inventory* account is due to lower consumption of drugs and medicines by the City's hospitals and health centers for the current year.

The decrease in *Medical, Dental and Laboratory Supplies Inventory* account pertains to massive consumption of medical and laboratory supplies to be used by the City's hospitals on its operation.

The decrease in *Construction Materials Inventory* account pertains to lesser procurements of materials to be used by the City in its construction of various infrastructures.

The significant increase in *Other Supplies and Materials Inventory* account is due to significant acquisition of supplies and learning materials for the current year.

During the year, the City recognized inventory expenses (see Note 24) summarized as follows:

| <b>Accounts</b>                                  | <b>Amount</b>           |
|--------------------------------------------------|-------------------------|
| Office Supplies Expenses                         | 79,756,942.20           |
| Accountable Forms Expenses                       | 919,990.00              |
| Animal/Zoological Supplies Expenses              | 12,068,806.75           |
| Food Supplies Expenses                           | 66,933,025.16           |
| Welfare Goods Expenses                           | 211,047,823.59          |
| Drugs and Medicines Expenses                     | 315,922,165.05          |
| Medical, Dental and Laboratory Supplies Expenses | 189,898,337.86          |
| Fuel, Oil and Lubricants Expenses                | 4,265,570.13            |
| Textbooks and Instructional Materials Expenses   | 351,110,316.41          |
| Other Supplies and Materials Expenses            | 535,302,549.10          |
| <b>Total</b>                                     | <b>1,767,225,526.25</b> |

**Note 8 – Prepayments and Deferred Charges**

| <b>Accounts</b>              | <b>2024</b>             | <b>2023</b>             |
|------------------------------|-------------------------|-------------------------|
| <b>Prepayments</b>           |                         |                         |
| Advances to Contractors      | 1,962,102,224.18        | 1,962,102,224.18        |
| Prepaid Insurance            | 160,850,499.14          | 115,710,459.84          |
| Other Prepayments            | 59,503,804.19           | 59,503,804.19           |
| <b>Deferred Charges</b>      |                         |                         |
| Discount on Advance Payments | 1,360,216.10            | 1,360,216.10            |
| <b>Total</b>                 | <b>2,183,816,743.61</b> | <b>2,138,676,704.31</b> |

The *Advances to Contractors* account is used to record amount advanced to contractors as authorized by law. It pertains to mobilization of rehabilitation of Manila Zoo, school buildings, condominiums, hospitals and health centers of the City. Amounts recorded in this account will be added to the cost of the acquired properties upon its completion.

Likewise, the *Prepaid Insurance* account includes insurance policy of the City's properties from the Government Service Insurance System (GSIS). The increase in the account pertains to acquisition of additional insurance policy on the acquired city owned vehicles.

**Note 9 – Investment Property**

| <b>Account</b>            | <b>2024</b>           | <b>2023</b>           |
|---------------------------|-----------------------|-----------------------|
| Investment Property, Land | 248,912,041.85        | 248,912,041.85        |
| <b>Total</b>              | <b>248,912,041.85</b> | <b>248,912,041.85</b> |

The *Investment Property, Land* is used to record the cost of land or part of a land held by the owner (or by the lessee under a finance lease) to earn rentals or for capital appreciation or both.

This account includes land held for capital appreciation of Philippine National Railroad with a book value amounting to P223,734,209.00.

**Note 10 – Property, Plant and Equipment (PPE)**

| <b>Accounts</b>                                    | <b>2024</b>              | <b>2023</b>              |
|----------------------------------------------------|--------------------------|--------------------------|
| <b>Land</b>                                        | <b>4,115,067,881.59</b>  | <b>3,924,462,851.59</b>  |
| <b>Land Improvements</b>                           |                          |                          |
| Other Land Improvements                            | 53,815,123.65            | 56,295,953.80            |
| <b>Infrastructure Assets</b>                       |                          |                          |
| Road Networks                                      | 2,322,914,290.19         | 2,322,914,290.19         |
| Sewer Systems                                      | 52,594,739.55            | 20,126,572.56            |
| Parks, Plazas and Monuments                        | 1,150,815,023.37         | 1,140,620,341.95         |
| Other Infrastructure Assets                        | 2,902,513,510.38         | 2,677,949,063.54         |
| <b>Subtotal</b>                                    | <b>6,428,837,563.49</b>  | <b>6,161,610,268.24</b>  |
| <b>Buildings and Other Structures</b>              |                          |                          |
| Buildings                                          | 1,780,296,076.09         | 1,733,191,586.36         |
| School Buildings                                   | 11,773,559,191.72        | 10,941,801,677.89        |
| Hospitals and Health Centers                       | 3,609,341,789.78         | 3,457,965,096.24         |
| Markets                                            | 278,808,895.82           | 309,820,693.92           |
| Slaughterhouses                                    | 68,384,047.74            | 71,408,057.40            |
| Other Structures                                   | 4,113,979,988.72         | 4,106,296,436.45         |
| <b>Subtotal</b>                                    | <b>21,624,369,989.87</b> | <b>20,620,483,548.26</b> |
| <b>Machinery and Equipment</b>                     |                          |                          |
| Machinery                                          | 9,385,005.46             | 965,243.33               |
| Office Equipment                                   | 109,107,356.88           | 38,091,137.51            |
| Information and Communication Technology Equipment | 477,274,490.59           | 296,329,125.33           |
| Communication Equipment                            | 22,602,327.48            | 14,329,535.47            |
| Construction and Heavy Equipment                   | 197,229,768.70           | 191,041,334.36           |
| Disaster Response and Rescue Equipment             | 518,602,208.38           | 347,914,592.06           |
| Military, Police and Security Equipment            | 8,530,971.86             | -                        |
| Medical Equipment                                  | 1,806,199,572.39         | 2,211,489,831.59         |
| Technical and Scientific Equipment                 | 188,379,003.08           | 30,209,458.00            |
| Other Machinery and Equipment                      | 342,483,168.67           | 129,779,910.20           |
| <b>Subtotal</b>                                    | <b>3,679,793,873.49</b>  | <b>3,260,150,167.85</b>  |
| <b>Transportation Equipment</b>                    |                          |                          |
| Motor Vehicles                                     | 464,862,460.27           | 307,978,903.93           |
| Watercrafts                                        | 15,811.96                | -                        |
| <b>Subtotal</b>                                    | <b>464,878,272.23</b>    | <b>307,978,903.93</b>    |

| <b>Accounts</b>                       | <b>2024</b>              | <b>2023</b>              |
|---------------------------------------|--------------------------|--------------------------|
| <b>Furniture, Fixtures and Books</b>  |                          |                          |
| Furniture and Fixtures                | 61,288,884.29            | 24,548,209.43            |
| Books                                 | 1,629,159.50             | 383,609.01               |
| <b>Subtotal</b>                       | <b>62,918,043.79</b>     | <b>24,931,818.44</b>     |
| <b>Construction in Progress (CIP)</b> |                          |                          |
| CIP - Infrastructure Assets           | 102,561,621.83           | 73,372,872.97            |
| CIP - Buildings and Other Structures  | 8,657,622,027.53         | 8,527,414,713.48         |
| <b>Subtotal</b>                       | <b>8,760,183,649.36</b>  | <b>8,600,787,586.45</b>  |
| <b>Other PPE</b>                      |                          |                          |
| Work/Zoo Animals                      | 27,469,000.00            | 24,239,000.00            |
| Other PPE                             | 191,914,814.45           | 242,530,848.91           |
| <b>Subtotal</b>                       | <b>219,383,814.45</b>    | <b>266,769,848.91</b>    |
| <b>Total</b>                          | <b>45,409,248,211.92</b> | <b>43,223,470,947.47</b> |

## Property, Plant and Equipment

| Description                                           | January 01, 2023         | Additions               | Disposals | Transfers/<br>Adjustments | December 31, 2023<br>(restated) | Additions               | Disposals             | Transfers/<br>Adjustments | December 31, 2024        |
|-------------------------------------------------------|--------------------------|-------------------------|-----------|---------------------------|---------------------------------|-------------------------|-----------------------|---------------------------|--------------------------|
| <b>Land</b>                                           | <b>3,611,225,584.16</b>  | <b>313,237,267.43</b>   | -         | -                         | <b>3,924,462,851.59</b>         | <b>190,605,030.00</b>   | -                     | -                         | <b>4,115,067,881.59</b>  |
| <b>Land Improvements</b>                              |                          |                         |           |                           |                                 |                         |                       |                           |                          |
| Other Land Improvements                               | 79,077,014.53            | -                       | -         | -                         | 79,077,014.53                   | -                       | -                     | -                         | 79,077,014.53            |
| <b>Infrastructure Projects</b>                        |                          |                         |           |                           |                                 |                         |                       |                           |                          |
| Road Networks                                         | 2,269,982,912.82         | -                       | -         | 52,931,377.37             | 2,322,914,290.19                | -                       | -                     | -                         | 2,322,914,290.19         |
| Sewer Systems                                         | -                        | -                       | -         | 23,591,227.55             | 23,591,227.55                   | 33,770,185.93           | -                     | -                         | 57,361,413.48            |
| Parks, Plazas and Monuments                           | 1,085,445,940.78         | -                       | -         | 55,174,401.17             | 1,140,620,341.95                | 10,194,681.42           | -                     | -                         | 1,150,815,023.37         |
| Other Infrastructure Assets                           | 2,404,419,881.24         | -                       | -         | 273,529,182.30            | 2,677,949,063.54                | 224,564,446.84          | -                     | -                         | 2,902,513,510.38         |
| <b>Subtotal</b>                                       | <b>5,759,848,734.84</b>  | <b>-</b>                | <b>-</b>  | <b>405,226,188.39</b>     | <b>6,165,074,923.23</b>         | <b>268,529,314.19</b>   | <b>-</b>              | <b>-</b>                  | <b>6,433,604,237.42</b>  |
| <b>Building and Other Structures</b>                  |                          |                         |           |                           |                                 |                         |                       |                           |                          |
| Buildings                                             | 2,377,850,283.47         | 98,359,002.08           | -         | (59,358,889.47)           | 2,416,850,396.08                | 4,934,439.25            | -                     | 2,363,364,054.21          | 4,785,148,889.54         |
| School Buildings                                      | 19,896,213,257.68        | 137,054,463.62          | -         | (982,353,438.06)          | 19,050,914,283.24               | 1,092,971,895.24        | -                     | 2,239,932,793.16          | 22,383,818,971.64        |
| Hospital and Health Centers                           | 4,474,484,829.35         | 115,021,189.76          | -         | (150,146,107.19)          | 4,439,359,911.92                | 144,629,431.32          | -                     | 2,959,297,691.90          | 7,543,287,035.14         |
| Markets                                               | 571,255,035.11           | -                       | -         | -                         | 571,255,035.11                  | -                       | -                     | 1,007,762,135.88          | 1,579,017,170.99         |
| Slaughterhouses                                       | 19,338,509.16            | -                       | -         | 79,834,128.45             | 99,172,637.61                   | -                       | -                     | -                         | 99,172,637.61            |
| Other Structures                                      | 4,699,881,535.36         | -                       | -         | (35,919,887.96)           | 4,663,961,647.40                | 138,543,517.63          | -                     | 363,307,749.56            | 5,165,812,914.59         |
| <b>Subtotal</b>                                       | <b>32,039,023,450.13</b> | <b>350,434,655.46</b>   | <b>-</b>  | <b>(1,147,944,194.23)</b> | <b>31,241,513,911.36</b>        | <b>1,381,079,283.44</b> | <b>-</b>              | <b>8,933,664,424.71</b>   | <b>41,556,257,619.51</b> |
| <b>Machinery and Equipment</b>                        |                          |                         |           |                           |                                 |                         |                       |                           |                          |
| Machinery                                             | 1,666,400.00             | -                       | -         | 202,800.00                | 1,869,200.00                    | -                       | -                     | 19,534,625.17             | 21,403,825.17            |
| Office Equipment                                      | 130,596,930.75           | 16,860,787.51           | -         | (19,570,891.45)           | 127,886,826.81                  | 673,500.00              | (592,091.61)          | 91,229,862.41             | 219,198,097.61           |
| Information and Communication<br>Technology Equipment | 750,586,425.41           | 91,097,806.55           | -         | 32,509,498.53             | 874,193,730.49                  | 82,458,409.00           | (905,132.99)          | 290,923,685.73            | 1,246,670,692.23         |
| Communication Equipment                               | 57,045,954.58            | 2,712,854.12            | -         | (5,161,999.07)            | 54,596,809.63                   | 279,000.00              | (1,180.00)            | 62,669,048.49             | 117,543,678.12           |
| Construction and Heavy Equipment                      | 305,978,179.00           | 8,055,800.00            | -         | 55,344,200.00             | 369,378,179.00                  | -                       | -                     | (71,174,115.00)           | 298,204,064.00           |
| Disaster Response and Rescue<br>Equipment             | 844,737,524.00           | -                       | -         | -                         | 844,737,524.00                  | -                       | -                     | (39,816,699.00)           | 804,920,825.00           |
| Military, Police and Security<br>Equipment            | -                        | -                       | -         | -                         | -                               | -                       | -                     | 10,532,064.02             | 10,532,064.02            |
| Medical Equipment                                     | 3,078,305,604.18         | 1,061,354,253.10        | -         | (784,331,773.04)          | 3,355,328,084.24                | -                       | (2,300,293.30)        | (718,177,205.34)          | 2,634,850,585.60         |
| Technical and Scientific Equipment                    | 59,131,820.89            | 31,295,332.64           | -         | (39,099,012.64)           | 51,328,140.89                   | -                       | (75,247.75)           | 265,890,603.33            | 317,143,496.47           |
| Other Machinery and Equipment                         | 316,552,935.82           | 63,309,699.17           | -         | (37,790,751.97)           | 342,071,883.02                  | -                       | (135,424.66)          | 252,468,481.53            | 594,404,939.89           |
| <b>Subtotal</b>                                       | <b>5,544,601,774.63</b>  | <b>1,274,686,533.09</b> | <b>-</b>  | <b>(797,897,929.64)</b>   | <b>6,021,390,378.08</b>         | <b>83,410,909.00</b>    | <b>(4,009,370.31)</b> | <b>164,080,351.34</b>     | <b>6,264,872,268.11</b>  |
| <b>Transportation Equipment</b>                       |                          |                         |           |                           |                                 |                         |                       |                           |                          |
| Motor Vehicles                                        | 857,098,061.97           | 48,408,494.00           | -         | 2,312,437.43              | 907,818,993.40                  | -                       | (239,972.50)          | (75,949,324.25)           | 831,629,696.65           |
| Watercrafts                                           | -                        | -                       | -         | -                         | -                               | -                       | -                     | 20,737.00                 | 20,737.00                |
| <b>Subtotal</b>                                       | <b>857,098,061.97</b>    | <b>48,408,494.00</b>    | <b>-</b>  | <b>2,312,437.43</b>       | <b>907,818,993.40</b>           | <b>-</b>                | <b>(239,972.50)</b>   | <b>(75,928,587.25)</b>    | <b>831,650,433.65</b>    |
| <b>Furniture, Fixtures and Books</b>                  |                          |                         |           |                           |                                 |                         |                       |                           |                          |
| Furniture and Fixtures                                | 52,959,771.99            | 33,041,697.99           | -         | (32,759,752.99)           | 53,241,716.99                   | 80,311.00               | (14,551.99)           | 77,346,371.44             | 130,653,847.44           |
| Books                                                 | 775,006.00               | -                       | -         | -                         | 775,006.00                      | -                       | -                     | 2,190,642.00              | 2,965,648.00             |
| <b>Subtotal</b>                                       | <b>53,734,777.99</b>     | <b>33,041,697.99</b>    | <b>-</b>  | <b>(32,759,752.99)</b>    | <b>54,016,722.99</b>            | <b>80,311.00</b>        | <b>(14,551.99)</b>    | <b>79,537,013.44</b>      | <b>133,619,495.44</b>    |

| Description                                               | January 01, 2023         | Additions               | Disposals | Transfers/<br>Adjustments | December 31, 2023<br>(restated) | Additions               | Disposals             | Transfers/<br>Adjustments | December 31, 2024        |
|-----------------------------------------------------------|--------------------------|-------------------------|-----------|---------------------------|---------------------------------|-------------------------|-----------------------|---------------------------|--------------------------|
| <b>Construction in Progress</b>                           |                          |                         |           |                           |                                 |                         |                       |                           |                          |
| Construction in Progress - Infrastructures Assets         | 49,743,517.70            | 673,322,853.82          | -         | (649,693,498.55)          | 73,372,872.97                   | 127,660,799.10          | -                     | (98,472,050.24)           | 102,561,621.83           |
| Construction in Progress - Buildings and Other Structures | 5,965,573,347.42         | 4,086,893,925.47        | -         | (1,525,052,559.41)        | 8,527,414,713.48                | 1,618,322,315.16        | -                     | (1,488,115,001.11)        | 8,657,622,027.53         |
| <b>Subtotal</b>                                           | <b>6,015,316,865.12</b>  | <b>4,760,216,779.29</b> | <b>-</b>  | <b>(2,174,746,057.96)</b> | <b>8,600,787,586.45</b>         | <b>1,745,983,114.26</b> | <b>-</b>              | <b>(1,586,587,051.35)</b> | <b>8,760,183,649.36</b>  |
| <b>Other Property, Plant and Equipment</b>                |                          |                         |           |                           |                                 |                         |                       |                           |                          |
| Work/Zoo Animals                                          | 24,974,000.00            | 40,130,000.00           | -         | (40,865,000.00)           | 24,239,000.00                   | -                       | -                     | 3,230,000.00              | 27,469,000.00            |
| Other Property, Plant and Equipment                       | 476,532,530.33           | 23,835,926.30           | -         | 41,475,454.79             | 541,843,911.42                  | -                       | (550,217.61)          | (13,113,496.40)           | 528,180,197.41           |
| <b>Subtotal</b>                                           | <b>501,506,530.33</b>    | <b>63,965,926.30</b>    | <b>-</b>  | <b>610,454.79</b>         | <b>566,082,911.42</b>           | <b>-</b>                | <b>(550,217.61)</b>   | <b>(9,883,496.40)</b>     | <b>555,649,197.41</b>    |
| <b>Grand Total</b>                                        | <b>54,461,432,793.70</b> | <b>6,843,991,353.56</b> | <b>-</b>  | <b>(3,745,198,854.21)</b> | <b>57,560,225,293.05</b>        | <b>3,669,687,961.89</b> | <b>(4,814,112.41)</b> | <b>7,504,882,654.49</b>   | <b>68,729,981,797.02</b> |

### Accumulated Depreciation

| Description                          | January 01, 2023           | Depreciation<br>(Additions) | Adjustments             | December 31, 2023<br>(restated) | Net Book Value           | Depreciation<br>(Additions) | Adjustments               | December 31, 2024          | Net Book Value           |
|--------------------------------------|----------------------------|-----------------------------|-------------------------|---------------------------------|--------------------------|-----------------------------|---------------------------|----------------------------|--------------------------|
| <b>Land</b>                          | -                          | -                           | -                       | -                               | <b>3,924,462,851.59</b>  | -                           | -                         | -                          | <b>4,115,067,881.59</b>  |
| <b>Land Improvements</b>             |                            |                             |                         |                                 |                          |                             |                           |                            |                          |
| Other Land Improvements              | (20,276,955.27)            | (2,504,105.48)              | 0.02                    | (22,781,060.73)                 | 56,295,953.80            | (2,480,830.15)              | -                         | (25,261,890.88)            | 53,815,123.65            |
| <b>Infrastructure Projects</b>       |                            |                             |                         |                                 |                          |                             |                           |                            |                          |
| Road Network                         | -                          | -                           | -                       | -                               | 2,322,914,290.19         | -                           | -                         | -                          | 2,322,914,290.19         |
| Sewer Systems                        | -                          | (652,755.18)                | (2,811,899.81)          | (3,464,654.99)                  | 20,126,572.56            | (1,297,303.92)              | (4,715.02)                | (4,766,673.93)             | 52,594,739.55            |
| Parks, Plazas and Monuments          | -                          | -                           | -                       | -                               | 1,140,620,341.95         | -                           | -                         | -                          | 1,150,815,023.37         |
| Other Infrastructure Assets          | -                          | -                           | -                       | -                               | 2,677,949,063.54         | -                           | -                         | -                          | 2,902,513,510.38         |
| <b>Subtotal</b>                      | <b>-</b>                   | <b>(652,755.18)</b>         | <b>(2,811,899.81)</b>   | <b>(3,464,654.99)</b>           | <b>6,161,610,268.24</b>  | <b>(1,297,303.92)</b>       | <b>(4,715.02)</b>         | <b>(4,766,673.93)</b>      | <b>6,428,837,563.49</b>  |
| <b>Building and Other Structures</b> |                            |                             |                         |                                 |                          |                             |                           |                            |                          |
| Buildings                            | (722,623,625.74)           | (75,849,955.69)             | 114,814,771.71          | (683,658,809.72)                | 1,733,191,586.36         | (76,037,737.08)             | (2,245,156,266.65)        | (3,004,852,813.45)         | 1,780,296,076.09         |
| School Buildings                     | (8,800,918,683.65)         | (466,497,831.33)            | 1,158,303,909.63        | (8,109,112,605.35)              | 10,941,801,677.89        | (483,679,257.44)            | (2,017,467,917.13)        | (10,610,259,779.92)        | 11,773,559,191.72        |
| Hospital and Health Centers          | (960,044,314.15)           | (139,033,386.12)            | 117,682,884.59          | (981,394,815.68)                | 3,457,965,096.24         | (141,219,310.67)            | (2,811,331,119.01)        | (3,933,945,245.36)         | 3,609,341,789.78         |
| Markets                              | (243,686,583.34)           | (18,089,742.78)             | 341,984.93              | (261,434,341.19)                | 309,820,693.92           | (12,099,070.37)             | (1,026,674,863.61)        | (1,300,208,275.17)         | 278,808,895.82           |
| Slaughterhouses                      | (14,511,790.41)            | (3,140,466.86)              | (10,112,322.94)         | (27,764,580.21)                 | 71,408,057.40            | (3,024,009.66)              | -                         | (30,788,589.87)            | 68,384,047.74            |
| Other Structures                     | (569,088,812.97)           | (147,692,118.82)            | 159,115,720.84          | (557,665,210.95)                | 4,106,296,436.45         | (149,025,352.84)            | (345,142,362.08)          | (1,051,832,925.87)         | 4,113,979,988.72         |
| <b>Subtotal</b>                      | <b>(11,310,873,810.26)</b> | <b>(850,303,501.60)</b>     | <b>1,540,146,948.76</b> | <b>(10,621,030,363.10)</b>      | <b>20,620,483,548.26</b> | <b>(865,084,738.06)</b>     | <b>(8,445,772,528.48)</b> | <b>(19,931,887,629.64)</b> | <b>21,624,369,989.87</b> |
| <b>Machinery and Equipment</b>       |                            |                             |                         |                                 |                          |                             |                           |                            |                          |
| Machinery                            | (673,401.17)               | (177,574.00)                | (52,981.50)             | (903,956.67)                    | 965,243.33               | (1,530,639.84)              | (9,584,223.20)            | (12,018,819.71)            | 9,385,005.46             |
| Office Equipment                     | (83,395,622.43)            | (17,432,810.12)             | 11,032,743.25           | (89,795,689.30)                 | 38,091,137.51            | (26,856,974.31)             | 6,561,922.88              | (110,090,740.73)           | 109,107,356.88           |



| Description                                               | January 01, 2023           | Depreciation<br>(Additions) | Adjustments             | December 31, 2023<br>(restated) | Net Book Value           | Depreciation<br>(Additions) | Adjustments               | December 31, 2024          | Net Book Value           |
|-----------------------------------------------------------|----------------------------|-----------------------------|-------------------------|---------------------------------|--------------------------|-----------------------------|---------------------------|----------------------------|--------------------------|
| Information and Communication Technology                  | (491,703,637.53)           | (113,393,081.60)            | 27,232,113.97           | (577,864,605.16)                | 296,329,125.33           | (104,807,827.37)            | (86,723,769.11)           | (769,396,201.64)           | 477,274,490.59           |
| Communication Equipment                                   | (38,112,879.41)            | (6,663,954.26)              | 4,509,559.51            | (40,267,274.16)                 | 14,329,535.47            | (6,447,528.41)              | (48,226,548.07)           | (94,941,350.64)            | 22,602,327.48            |
| Construction and Heavy Equipment                          | (127,793,692.64)           | (33,588,027.01)             | (16,955,124.99)         | (178,336,844.64)                | 191,041,334.36           | (26,331,471.01)             | 103,694,020.35            | (100,974,295.30)           | 197,229,768.70           |
| Disaster Response and Rescue Equipment                    | (390,134,944.67)           | (106,672,123.97)            | (15,863.30)             | (496,822,931.94)                | 347,914,592.06           | (102,697,827.61)            | 313,202,142.93            | (286,318,616.62)           | 518,602,208.38           |
| Military, Police and Security Equipment                   | -                          | -                           | -                       | -                               | -                        | (2,001,092.16)              | -                         | (2,001,092.16)             | 8,530,971.86             |
| Medical Equipment                                         | (950,162,091.26)           | (290,999,272.11)            | 97,323,110.72           | (1,143,838,252.65)              | 2,211,489,831.59         | (310,387,886.46)            | 625,575,125.90            | (828,651,013.21)           | 1,806,199,572.39         |
| Technical and Scientific Equipment                        | (21,866,125.86)            | (3,934,701.53)              | 4,682,144.50            | (21,118,682.89)                 | 30,209,458.00            | (24,326,276.90)             | (83,319,533.60)           | (128,764,493.39)           | 188,379,003.08           |
| Other Machinery and Equipment                             | (142,692,027.13)           | (56,059,333.59)             | (13,540,612.10)         | (212,291,972.82)                | 129,779,910.20           | (91,761,590.84)             | 52,131,792.44             | (251,921,771.22)           | 342,483,168.67           |
| <b>Subtotal</b>                                           | <b>(2,246,534,422.10)</b>  | <b>(628,920,878.19)</b>     | <b>114,215,090.06</b>   | <b>(2,761,240,210.23)</b>       | <b>3,260,150,167.85</b>  | <b>(697,149,114.91)</b>     | <b>873,310,930.52</b>     | <b>(2,585,078,394.62)</b>  | <b>3,679,793,873.49</b>  |
| <b>Transportation Equipment</b>                           |                            |                             |                         |                                 |                          |                             |                           |                            |                          |
| Motor Vehicles                                            | (495,144,530.80)           | (93,708,192.64)             | (10,987,366.03)         | (599,840,089.47)                | 307,978,903.93           | (69,685,493.97)             | 302,758,347.06            | (366,767,236.38)           | 464,862,460.27           |
| Watercrafts                                               | -                          | -                           | -                       | -                               | -                        | (1,970.02)                  | (2,955.02)                | (4,925.04)                 | 15,811.96                |
| <b>Subtotal</b>                                           | <b>(495,144,530.80)</b>    | <b>(93,708,192.64)</b>      | <b>(10,987,366.03)</b>  | <b>(599,840,089.47)</b>         | <b>307,978,903.93</b>    | <b>(69,687,463.99)</b>      | <b>302,755,392.04</b>     | <b>(366,772,161.42)</b>    | <b>464,878,272.23</b>    |
| <b>Furniture, Fixtures and Books</b>                      |                            |                             |                         |                                 |                          |                             |                           |                            |                          |
| Furniture and Fixtures                                    | (22,042,027.91)            | (6,383,631.89)              | (267,847.76)            | (28,693,507.56)                 | 24,548,209.43            | (13,879,653.97)             | (26,791,801.62)           | (69,364,963.15)            | 61,288,884.29            |
| Books                                                     | (332,326.95)               | (59,070.04)                 | -                       | (391,396.99)                    | 383,609.01               | (264,815.98)                | (680,275.53)              | (1,336,488.50)             | 1,629,159.50             |
| <b>Subtotal</b>                                           | <b>(22,374,354.86)</b>     | <b>(6,442,701.93)</b>       | <b>(267,847.76)</b>     | <b>(29,084,904.55)</b>          | <b>24,931,818.44</b>     | <b>(14,144,469.95)</b>      | <b>(27,472,077.15)</b>    | <b>(70,701,451.65)</b>     | <b>62,918,043.79</b>     |
| <b>Construction in Progress</b>                           |                            |                             |                         |                                 |                          |                             |                           |                            |                          |
| Construction in Progress - Infrastructures Assets         | -                          | -                           | -                       | -                               | 73,372,872.97            | -                           | -                         | -                          | 102,561,621.83           |
| Construction in Progress - Buildings and Other Structures | -                          | -                           | -                       | -                               | 8,527,414,713.48         | -                           | -                         | -                          | 8,657,622,027.53         |
| <b>Subtotal</b>                                           | <b>-</b>                   | <b>-</b>                    | <b>-</b>                | <b>-</b>                        | <b>8,600,787,586.45</b>  | <b>-</b>                    | <b>-</b>                  | <b>-</b>                   | <b>8,760,183,649.36</b>  |
| <b>Other Property, Plant and Equipment</b>                |                            |                             |                         |                                 |                          |                             |                           |                            |                          |
| Work/Zoo Animals                                          | -                          | -                           | -                       | -                               | 24,239,000.00            | -                           | -                         | -                          | 27,469,000.00            |
| Other Property, Plant and Equipment                       | (240,721,586.35)           | (75,097,269.99)             | 16,505,793.83           | (299,313,062.51)                | 242,530,848.91           | (63,878,615.77)             | 26,926,295.32             | (336,265,382.96)           | 191,914,814.45           |
| <b>Subtotal</b>                                           | <b>(240,721,586.35)</b>    | <b>(75,097,269.99)</b>      | <b>16,505,793.83</b>    | <b>(299,313,062.51)</b>         | <b>266,769,848.91</b>    | <b>(63,878,615.77)</b>      | <b>26,926,295.32</b>      | <b>(336,265,382.96)</b>    | <b>219,383,814.45</b>    |
| <b>Grand Total</b>                                        | <b>(14,335,925,659.64)</b> | <b>(1,657,629,405.01)</b>   | <b>1,656,800,719.07</b> | <b>(14,336,754,345.58)</b>      | <b>43,223,470,947.47</b> | <b>(1,713,722,536.75)</b>   | <b>(7,270,256,702.77)</b> | <b>(23,320,733,585.10)</b> | <b>45,409,248,211.92</b> |

The increase in *Land* account is due to acquisition of additional land through expropriation proceedings.

The increase in *Sewer Systems, Park, Plazas and Monuments, and Other Infrastructure Assets* is due to various landscaping and construction of sewerage treatment plants in Sta. Ana Hospital and other road infrastructures made in CY 2024.

The increase in *Buildings and School Buildings Account* mainly pertains to fully constructed buildings and schools such as the Visitor Facility in Manila City Jail, Rosauro Elementary School and Albert Elementary School.

The increase in *Hospitals and Health Centers* pertains to fully constructed three-storey community Baseco Hospital located at Baseco, Manila.

The decrease in *Markets* is mainly due to derecognition of Pritil Market which was destroyed by fire last April 2023.

The decrease in *Slaughterhouses* is mainly due to depreciation.

The increase in *Office Equipment, Information and Communication Technology Equipment, Communication Equipment, Construction and Heavy Equipment, Disaster Response and Rescue Equipment, Technical and Scientific Equipment, Other Machinery and Equipment, Motor Vehicles, Furniture and Fixtures, and Books*, pertains to adjustments made on the other property, plant and equipment as part of the reconciliation process in line with the one-time cleansing of PPE.

The increase in *Construction in Progress - Infrastructure Assets* is due to the on-going construction of flagship infrastructure project of the City. Completed project are immediately closed to PPE account once fully constructed and paid.

The increase in *Construction in Progress - Buildings and Other Structures* is mainly due to the on-going construction of Pritil Market.

The derecognition of the deceased elephant named Mali in the books has been deferred due to the pending approval of relief from accountability.

The PPE are carried at historical cost.

Infrastructures under construction-in-progress are valued following the construction period theory.

The straight-line method of depreciation is followed. For equipment, vehicles and other assets, depreciation is computed on the month following the purchase date.

The Infrastructure Assets were recognized in CY 2016 based on the Registry of Public Infrastructures.

The Road Network System of the City is composed of 290 kilometers of concrete road and 394 kilometers of Asphalt Road around the City.

**Note 11 – Intangible Asset**

|                   | 2024                  | 2023                  |
|-------------------|-----------------------|-----------------------|
| Computer Software | 291,955,830.24        | 291,955,830.24        |
| <b>Total</b>      | <b>291,955,830.24</b> | <b>291,955,830.24</b> |

*Computer Software* pertains to the biometric software acquired by the City as part of integration to Go Manila Application subject to annual impairment testing. The City assessed that there are no legal, contractual, regulatory, and economic factors that limit the useful life of the software thus considering it as having an indefinite useful life. No impairment loss is recognized for CY 2024.

Shown below is the reconciliation of the Computer Software account during CY 2024:

| Carrying Value as of<br>December 31, 2023 | Additions | Disposals | Carrying Value as of<br>December 31, 2024 |
|-------------------------------------------|-----------|-----------|-------------------------------------------|
| 291,223,332.00                            | -         | -         | 291,955,830.24                            |

*Computer Software* is mainly due to upgrades made in biometric specifically the Manila E-Citizen software engine related to Go Manila Application.

**Note 12 – Financial Liabilities (Current)**

| Accounts                          | 2024                    | 2023                    |
|-----------------------------------|-------------------------|-------------------------|
| <b>Payables</b>                   |                         |                         |
| Accounts Payable                  | 6,650,308,354.04        | 4,577,292,672.32        |
| Due to Officers and Employees     | 542,829,055.92          | 510,590,607.26          |
| Interest Payable                  | 143,911,550.80          | 85,227,622.47           |
| Operating Lease Payable           | 5,775.68                | 5,775.68                |
| <b>Loans Payable</b>              |                         |                         |
| Loans Payable - Domestic, Current | 129,327,286.19          | 607,974,402.50          |
| <b>Total</b>                      | <b>7,466,382,022.63</b> | <b>5,781,091,080.23</b> |

**Financial Liabilities (Non-Current)**

| Account                  | 2024                     | 2023                     |
|--------------------------|--------------------------|--------------------------|
| Loans Payable - Domestic | 15,180,525,087.35        | 13,604,851,808.77        |
| <b>Total</b>             | <b>15,180,525,087.35</b> | <b>13,604,851,808.77</b> |

The *Accounts Payable* account is used to record receipt of goods or services on account in the normal course of providing basic services to the general public. Transactions affecting the account are recognized when it is probable that an outflow of resources embodying economic benefits will result from the settlement of a present obligation and the amount can be measured reliably. Increase in the *Accounts Payable* is mainly attributable to accrual of obligation related to capital outlay and operating expenditures of the City.

The table below shows the aging of the City's Accounts Payable as at December 31, 2024:

| Account          | On Demand        | < 1 Year but ><br>3 years | Total            |
|------------------|------------------|---------------------------|------------------|
| Accounts Payable | 3,331,842,014.64 | 3,318,466,339.40          | 6,650,308,354.04 |

The *Due to Officers and Employees* is composed of salaries, benefits, and other emoluments payable to the employees, and its increase is mainly due to the City's liabilities to the newly hired of employees for the year.

The increase in *Interest Payable* account is mainly due to the loans release by the LBP bank on which the interest has been accrued and due for payment.

The *Loans Payable - Domestic* account represents the outstanding balance amounting to P15,180,525,087.35, relative to the DBP P5 billion Term Loan, DBP P10 billion Term Loan, and LBP P2.8 billion Term Loan. The DBP term loans are at the rate of 3.9 percent interest per annum approved by the DBP for 20 years, inclusive of a two-year grace period on principal repayment, payable in 72 equal quarterly amortizations to commence at the end of the ninth quarter from date of initial drawdown to finance the following flagship projects. Details of the Loans Payable are as follows:

Development Bank of the Philippines  
P5 billion Term Loan:

|   | Purpose                                 | Amount           |
|---|-----------------------------------------|------------------|
| 1 | Redevelopment of Manila Zoo             | 1,311,715,271.23 |
| 2 | Binondominium 1                         | 400,606,687.47   |
| 3 | Tondominium 1                           | 498,367,495.93   |
| 4 | Tondominium 2                           | 498,348,932.55   |
| 5 | Ospital ng Maynila and Parking Building | 2,290,961,612.82 |

P10 billion Term Loan:

|   | Purpose                           | Amount           |
|---|-----------------------------------|------------------|
| 1 | Dr. Albert Elementary School      | 2,000,000,000.00 |
| 2 | Rosauro Almario Elementary School | 1,900,000,000.00 |
| 3 | Manila Science High School        | 1,300,000,000.00 |
| 4 | Pedro Gil Residences              | 1,585,000,000.00 |
| 5 | San Lazaro Residences             | 2,015,000,000.00 |
| 6 | San Sebastian Residences          | 1,200,000,000.00 |

Land Bank of the Philippines  
P2.8 billion Term Loan:

|   | Purpose                                                                           | Amount           |
|---|-----------------------------------------------------------------------------------|------------------|
| 1 | Various Hospital Equipment, furniture and fixtures for ONMMC                      | 1,600,000,000.00 |
| 2 | Acquisition/Expropriation of Land under the Land for Landless Program of the City | 1,200,000,000.00 |

The *Loans Payable - Domestic* account balance represents 45.30 per cent of the City's total liabilities.

The decrease in *Loans Payable - Domestic, Current* account is due to the loan restructuring availed by the City from its loans.

The increase in *Loans Payable - Domestic, Non-Current* account is due to the release of loan proceeds in line with the term loan availed by the City for its on-going infrastructure and developmental projects

**Note 13 – Inter-Agency Payables**

| Accounts          | 2024                    | 2023                    |
|-------------------|-------------------------|-------------------------|
| Due to BIR        | 577,242,546.64          | 472,852,467.82          |
| Due to GSIS       | 161,415,777.28          | 125,639,214.27          |
| Due to Pag-IBIG   | 43,578,527.87           | 27,858,016.61           |
| Due to PhilHealth | 43,521,582.69           | 33,705,105.57           |
| Due to NGAs       | 991,915,367.99          | 390,244,090.61          |
| Due to GOCCs      | 280,713,370.92          | 451,294,696.68          |
| Due to LGUs       | 735,821,138.95          | 947,576,168.21          |
| <b>Total</b>      | <b>2,834,208,312.34</b> | <b>2,449,169,759.77</b> |

The increase in *Due to BIR, Due to GSIS, Due to Pag-IBIG* account pertains to the amount of taxes withheld from salaries and other remuneration of the employees of the City for the year and mandatory contributions withheld from the employees including Job Orders, together with the corresponding share from the LGU.

Moreover, the taxes withheld in connection to the year-end payables of the City will be remitted in the following year and upon payment of the said payables to the suppliers and contractors subject to the availability of cash being the normal practice of its cash management.

Meanwhile, the *Due to GSIS* account comprised of unremitted premiums as of year-end which will be remitted in the following year and the remaining balance pertains to clarificatory premiums due to promotion, retirement, resignation, death, and other similar cases.

*Due to NGAs* account includes fund transfers from NGAs such as PHIC, Department of Health, Department of Social Welfare and Development, and

Department of Environment and Natural Resources for the implementation of specific programs, projects, and activities (PPAs) to which the fund was transferred. The increase in this account pertains to the receipt of donations needed for various PPAs to which the funds were directed.

*Due to GOCCs* account includes fund transfers from Philippine Amusement and Gaming Corporation and Philippine Charity Sweepstakes Office for implementation of specific PPAs. The decrease in this account mainly pertains to massive utilization of funds received from different GOCCs for which the corresponding liquidation has been submitted accordingly.

The *Due to LGUs* account pertains to the unreleased shares of 897 barangays in RPT and Community Taxes.

The table below show the aging of the City's Inter-Agency Payables as at December 31, 2024:

| Account           | On Demand      | < 1 Year but ><br>3 years | Total          |
|-------------------|----------------|---------------------------|----------------|
| Due to BIR        | 196,976,495.65 | 380,266,050.99            | 577,242,546.64 |
| Due to GSIS       | 126,020,063.52 | 35,395,713.76             | 161,415,777.28 |
| Due to Pag-IBIG   | 19,189,934.18  | 24,388,593.69             | 43,578,527.87  |
| Due to PhilHealth | 10,413,319.46  | 33,108,263.23             | 43,521,582.69  |
| Due to NGAs       | 601,671,277.38 | 390,244,090.61            | 991,915,367.99 |
| Due to GOCCs      | -              | 280,713,370.92            | 280,713,370.92 |
| Due to LGUs       | 21,528,000.00  | 714,293,138.95            | 735,821,138.95 |

#### **Intra-Agency Payables**

Offsetting of reciprocal accounts Due from Other Funds and Due to Other Funds for CY 2024 are shown in Note 6.

#### **Note 14 – Trust Liabilities**

| Accounts                                                        | 2024                    | 2023                    |
|-----------------------------------------------------------------|-------------------------|-------------------------|
| Trust Liabilities                                               | 781,404,470.66          | 838,224,434.34          |
| Trust Liabilities - Disaster Risk Reduction and Management Fund | 1,853,038,511.38        | 1,281,597,926.94        |
| Bail Bonds Payable                                              | 169,121,013.61          | 169,017,213.61          |
| Guaranty/Security Deposits Payable                              | 152,100,606.22          | 124,138,597.03          |
| <b>Total</b>                                                    | <b>2,955,664,601.87</b> | <b>2,412,978,171.92</b> |

The *Trust Liabilities* account consists of P622,782,212.40 collected from PHIC (see Note 20). This account also consists of donations for Covid-19, Local Government Support Fund, Social Pension Fund, and Developmental Project Funds.

The *Trust Liabilities - Disaster Risk Reduction and Management Fund* (DRRMF) account represents the amount set aside by the City to support its disaster risk

management activities pursuant to RA No. 10121, otherwise known as the “Philippine Disaster Risk Reduction and Management Act of 2010.”

During the year, the total unutilized balance for Capital Outlay Appropriation amounting to P308,094,513.00 remains in the General Fund. Transfer to Trust Fund amounting to P606,768,716.90 represents the unutilized balance of the CY 2024 Local DRRMF Quick Response Fund (QRF) and MOOE Mitigation Fund (MF) under Trust Liabilities account. Details are as follows:

| Particulars                 | Amount                  |                       |                         |
|-----------------------------|-------------------------|-----------------------|-------------------------|
|                             | Available               | Utilized              | Balance                 |
| Current Year Appropriation: |                         |                       |                         |
| QRF                         | 346,237,882.00          | -                     | 346,237,882.00          |
| MF                          |                         |                       |                         |
| MOOE                        | 420,086,763.00          | 159,555,928.10        | 260,530,834.90          |
| Capital Outlay              | 387,801,628.00          | 79,707,115.00         | 308,094,513.00          |
| <b>Total</b>                | <b>1,154,126,273.00</b> | <b>239,263,043.10</b> | <b>914,863,229.90</b>   |
| <b>Continuing</b>           | <b>155,481,027.04</b>   | <b>-</b>              | <b>155,481,027.04</b>   |
| <b>Appropriation</b>        |                         |                       |                         |
| Special Trust Fund          |                         |                       |                         |
| CY 2023                     | 522,651,487.40          | 28,830,000.00         | 493,821,487.40          |
| CY 2022                     | 594,844,672.69          | 3,249,066.23          | 591,595,606.46          |
| CY 2021                     | 64,903,635.28           | 3,249,066.23          | 61,654,569.05           |
| CY 2020                     | 99,198,131.57           | -                     | 99,198,131.57           |
| <b>Total</b>                | <b>1,281,597,926.94</b> | <b>35,328,132.46</b>  | <b>1,246,269,794.48</b> |

The under-utilization of DRRM Fund was due to the significant decrease in spending related to disaster response due to fewer disasters experienced by the City during CY 2024.

The *Bail Bonds Payable* account primarily represents the liability arising from the receipt of cash bond from persons who are in the custody of the law to guaranty their appearance in court at the appointed day and time or the compliance with the conditions of the bond. During the year, the increase in the bail bonds payable is due to the transfer of patrimonial property to private corporation.

The *Guaranty/Security Deposits Payable* represents retention money to assure that manufacturing defects shall be corrected by the supplier for a minimum period of three months, in the case of Expendable Supplies, or a minimum period of one year, in the case of Non-expendable Supplies, after acceptance by the Procuring Entity of the delivered supplies. It is equivalent to at least one percent of every progress payment, or a special bank guarantee equivalent to at least one percent of the total contract price. The said amounts shall only be released after the lapse of the warranty period or, in the case of Expendable Supplies, after consumption thereof in accordance with RA No. 9184 or the Government Procurement Reform Act.

**Note 15 – Deferred Credits/Unearned Income**

| <b>Accounts</b>                | <b>2024</b>             | <b>2023</b>             |
|--------------------------------|-------------------------|-------------------------|
| Deferred Real Property Tax     | 3,222,432,145.65        | 3,049,264,337.65        |
| Deferred Special Education Tax | 1,438,714,228.96        | 1,350,389,773.50        |
| Other Deferred Credits         | 1,357,982,615.41        | 1,362,346,021.22        |
| <b>Total</b>                   | <b>6,019,128,990.02</b> | <b>5,762,000,132.37</b> |

The increase in *Deferred Real Property Tax* is due to advance payment related to real property tax during the year.

The increase in *Deferred Special Education Tax* is due to advance payment related to special education tax and during the year.

**Note 16 – Other Payables**

| <b>Account</b> | <b>2024</b>             | <b>2023</b>             |
|----------------|-------------------------|-------------------------|
| Other Payables | 1,947,909,124.97        | 1,364,673,949.27        |
| <b>Total</b>   | <b>1,947,909,124.97</b> | <b>1,364,673,949.27</b> |

The table below show the aging of the City's Other Payables as at December 31, 2024:

| <b>Account</b> | <b>On Demand</b> | <b>&lt; 1 Year but &gt; 3<br/>years</b> | <b>Total</b>     |
|----------------|------------------|-----------------------------------------|------------------|
| Other Payables | 776,518,867.24   | 1,171,390,257.67                        | 1,947,909,124.91 |

*Other Payables* is consisting of amount payable to Job Order employees, Consultants, Contract of Service, Social Amelioration Program of the City for Senior Citizen, Persons with Disability and Solo Parent, Allowances of Police Officers, and other similar nature. The increase in this account mainly pertains to the P2,000 pay increase for all job order and contractual status workers in the City of Manila.

**Note 17 – Tax Revenue**

| <b>Accounts</b>                                 | <b>2024</b>              | <b>2023</b>              |
|-------------------------------------------------|--------------------------|--------------------------|
| <b>Tax Revenue - Individual and Corporation</b> |                          |                          |
| Professional Tax                                | 7,055,764.43             | 5,236,006.50             |
| Community Tax                                   | 124,510,589.96           | 117,540,135.06           |
| <b>Subtotal</b>                                 | <b>131,566,354.39</b>    | <b>122,776,141.56</b>    |
| <b>Tax Revenue - Property</b>                   |                          |                          |
| Real Property Tax - Basic                       | 4,201,926,496.63         | 6,876,068,389.99         |
| Discount on Real Property Tax - Basic           | (16,925,906.94)          | (542,390,935.30)         |
| Special Education Tax                           | 5,970,598,848.96         | 3,769,677,262.10         |
| Discount on Special Education Tax               | (436,660,615.98)         | (428,652,752.44)         |
| Real Property Transfer Tax                      | 350,086,065.55           | 374,802,129.06           |
| <b>Subtotal</b>                                 | <b>10,069,024,888.22</b> | <b>10,049,504,093.41</b> |



| <b>Accounts</b>                          | <b>2024</b>              | <b>2023</b>              |
|------------------------------------------|--------------------------|--------------------------|
| <b>Tax Revenue - Goods and Services</b>  |                          |                          |
| Business Tax                             | 5,054,543,155.46         | 4,669,617,956.86         |
| Amusement Tax                            | 27,356,784.63            | 26,422,820.38            |
| Franchise Tax                            | 237,114,048.74           | 210,190,562.09           |
| Printing and Publication Tax             | 6,366,436.00             | 117,196.14               |
| <b>Subtotal</b>                          | <b>5,325,380,424.83</b>  | <b>4,906,348,535.47</b>  |
| <b>Tax Revenue - Others</b>              |                          |                          |
| Other Taxes                              | 3,746,977.12             | 4,582,900.17             |
| <b>Subtotal</b>                          | <b>3,746,977.12</b>      | <b>4,582,900.17</b>      |
| <b>Tax Revenue - Fines and Penalties</b> |                          |                          |
| Tax Revenue - Fines and Penalties        | 205,076,524.98           | 271,961,689.46           |
| - Other Taxes                            |                          |                          |
| <b>Subtotal</b>                          | <b>205,076,524.98</b>    | <b>271,961,689.46</b>    |
| <b>Total</b>                             | <b>15,734,795,169.54</b> | <b>15,355,173,360.07</b> |

The increase in *Professional Tax* is due to the increase in professionals working in the City of Manila in CY 2024.

The decrease in *Real Property Tax - Basic* is due to the lower collection of Real Property in CY 2024.

The increase in *Special Education Tax* is due to the increase in realization of revenue pertaining to Special Education tax in CY 2024.

The decrease in *Discount on Real Property Tax - Basic* pertains to relative decrease in collection of advance payment for RPT.

The increase in *Business Tax* is due to the increase in taxable sales of businesses in the City as a result of increase relaxed economic activities due to decreasing effect of the COVID-19 pandemic.

The increase in *Amusement Tax* is due to the increase in the City's investments in recreational events and operations.

The increase in *Franchise Taxes* is due mainly to the increase in the taxable sales of industries with franchise grants operating in the City brought by relaxed COVID-19 protocols.

The increase in *Printing and Publication Tax* is due to higher taxes collected from printing and/or publication of printed materials such as books, cards, pamphlets, posters, or tarpaulins businesses.

The decrease in *Tax Revenue - Fines and Penalties - Other Taxes* is due to decrease in collections for late payments of local taxes, particularly RPT and Business Taxes.

**Note 18 – Share from National Taxes**

| <b>Account</b>                | <b>2024</b>             | <b>2023</b>             |
|-------------------------------|-------------------------|-------------------------|
| National Tax Allocation (NTA) | 4,507,349,812.00        | 4,249,406,041.00        |
| <b>Total</b>                  | <b>4,507,349,812.00</b> | <b>4,249,406,041.00</b> |

The NTA represents the City's share of revenues from the Philippine national government. Increase in this account is mainly due to the increase of national government revenue.

**Note 19 – Service and Business Income**

| <b>Accounts</b>                                        | <b>2024</b>             | <b>2023</b>             |
|--------------------------------------------------------|-------------------------|-------------------------|
| <b>Service Income</b>                                  |                         |                         |
| Permit Fees                                            | 587,116,690.58          | 518,320,682.73          |
| Registration Fees                                      | 13,244,677.98           | 12,639,287.50           |
| Registration Plates, Tags and Stickers Fees            | 24,640.00               | 203,575.00              |
| Clearance and Certification Fees                       | 142,288,937.77          | 146,406,356.59          |
| Inspection Fees                                        | 82,916,970.66           | 76,913,406.30           |
| Processing Fees                                        | 60,715,219.59           | 41,806,508.25           |
| Occupation Fees                                        | 33,248,045.50           | 33,632,720.00           |
| Fees for Sealing and Licensing of Weights and Measures | 2,183,535.00            | 2,052,185.30            |
| Fines and Penalties - Service Income                   | 224,759.88              | 472,542.03              |
| Other Service Income                                   | 189,829.97              | 120,456.74              |
| <b>Subtotal</b>                                        | <b>922,153,306.93</b>   | <b>832,567,720.44</b>   |
| <b>Business Income</b>                                 |                         |                         |
| School Fees                                            | 233,128.15              | 25,799.04               |
| Affiliation Fees                                       | 2,730,178.75            | 1,726,298.76            |
| Rent Income                                            | 52,911,033.31           | 84,559,827.00           |
| Road Network Fees                                      | 5,891,483.50            | 6,372,797.50            |
| Parking Fees                                           | 112,173,786.76          | 124,510,737.30          |
| Receipts from Market Operations                        | 90,011,107.94           | 79,335,009.37           |
| Receipts from Slaughterhouse Operation                 | 26,208,140.41           | 31,929,451.48           |
| Receipts from Cemetery Operations                      | 18,614,845.00           | 18,902,574.65           |
| Receipts from Printing and Publication                 | 39,925.00               | 2,450.00                |
| Garbage Fees                                           | 159,451,821.21          | 160,201,398.72          |
| Hospital Fees                                          | 30,090,340.39           | 25,906,476.05           |
| Interest Income                                        | 14,822,424.17           | 23,487,325.30           |
| Other Business Income                                  | 158,165,411.41          | 205,853,365.67          |
| <b>Subtotal</b>                                        | <b>671,343,626.00</b>   | <b>762,813,510.84</b>   |
| <b>Total</b>                                           | <b>1,593,496,932.93</b> | <b>1,595,381,231.28</b> |

The decrease of *Registration Plates, Tags and Stickers Fees* is caused by the decreased in the registration of plates and stickers issued by LTO and DTI during CY 2024.

*Clearance and Certification Fees* pertains to fees collected for the issuance of clearances and certificates to individuals, organizations, groups, and corporations such as Police Clearance, RPT Clearance, etc. During the year, decrease in the requests for such documents contributed to the decrease of the account.

*Inspection Fees* pertains to fees collected for the conduct of mandatory inspections in establishments such as sanitary and health inspections. During the year, the inspections conducted to business establishment have increased due to opening of the establishment in CY 2024.

The increase in *Processing Fees* is relatively related to the increase in permit fees for which processing fee is charged for securing permit application by the local businesses.

The decrease in *Fines and Penalties- Service Income* is mainly due to compliance of the taxpayers related to policy on services rendered by the City.

The increase in *Other Service Income* is attributed to the services rendered by the City to its local taxpayers.

The massive increase in *School Fees* is attributed to additional fees imposed on the students of Unibersidad De Manila in connection with the enrolment and registration of the students during the academic year 2024.

The increase in *Affiliation Fees* is mainly pertains to the growing number of medical students practicing their professions, for which fees are collected from the implementing institutions.

*Rent Income* pertains to the income derived from the lease and use of City-owned premises and facilities. During the year, some lease contracts entered into by the City have been expired which contributed to the decrease in rent income.

The decrease of *Road Network Fees* is caused by the decreased mobility, thus decrease in use of the road networks and bridges by the public.

The decrease of *Parking Fees* is caused by the decrease in use of the pay parking sidewalks owned by and operated by the City made available to the public.

The increase in *Receipt from Printing and Publication* account is caused by the increase in collection of services related to printed forms and publication materials produced by the City.

*Hospital Fees* pertains to the billed amounts of six district hospitals of the city for hospital charges of PHIC pursuant to Section 49 of RA No. 10606 or "The National Health Insurance Act of 1995."

Movement of Hospital Charges for the year are as follows:

| No.          | District Hospitals                           | Beginning Balances,<br>January 1, 2024 | Additions             | Utilization           | Ending Balances,<br>December 31, 2024 |
|--------------|----------------------------------------------|----------------------------------------|-----------------------|-----------------------|---------------------------------------|
| 1            | Ospital ng Maynila                           | 151,196,790.50                         | 91,012,965.14         | 63,573,485.55         | 178,636,270.09                        |
| 2            | Ospital ng Sampaloc                          | 57,599,479.22                          | 28,905,148.48         | 52,745,425.43         | 33,759,202.27                         |
| 3            | Ospital ng Tondo                             | 63,298,163.91                          | 17,725,875.53         | 16,740,100.35         | 64,283,939.09                         |
| 4            | Gat Andres Bonifacio Memorial Medical Center | 118,130,587.21                         | 64,932,135.29         | 87,413,458.46         | 95,649,264.04                         |
| 5            | Justice Jose Abad Santos Medical Center      | 105,795,741.17                         | 50,551,687.77         | 45,184,669.83         | 111,162,759.11                        |
| 6            | Sta. Ana Hospital                            | 181,608,323.30                         | 62,593,719.77         | 104,911,265.27        | 139,290,777.80                        |
| <b>Total</b> |                                              | <b>677,629,085.31</b>                  | <b>315,721,531.98</b> | <b>370,568,404.89</b> | <b>622,782,212.40</b>                 |

During CY 2024, the City of Manila postponed the implementation of separate fund under COA Circular No. 2023-003 dated June 14, 2023 for Special Health Fund as mandated by the Universal Health Care Act of 2018, as the City is still waiting for the final guidelines for its implementation from oversight agencies.

The decrease in *Interest Income* account is due to the termination of City's 10-time deposit bank accounts. Detailed disclosure regarding the termination can be found in Note 4 – Cash and Cash Equivalents.

The decrease in *Other Business Income* is mainly due to the lesser collection in Manila Zoo amusement park due to minimal admission during CY 2024.

#### Note 20 – Grants and Donations

| Account                      | 2024            | 2023                 |
|------------------------------|-----------------|----------------------|
| Grants and Donations in Kind | 6,033.36        | 69,183,724.78        |
| <b>Total</b>                 | <b>6,033.36</b> | <b>69,183,724.78</b> |

The *Grants and Donations* consist of COVID-19 related supplies and equipment donated by other government agencies and from transfer of properties from Trust Fund. Decrease in this account is mainly due to the lesser donations received by the City as compared to the previous year.

#### Note 21 – Gains

| Accounts            | 2024              | 2023                 |
|---------------------|-------------------|----------------------|
| Gain on Sale of PPE | 207,181.45        | 14,016,979.32        |
| <b>Total</b>        | <b>207,181.45</b> | <b>14,016,979.32</b> |

The *Gain on Sale of PPE* pertains to gain on disposal of unserviceable properties. Decrease in this account is due to the decrease in disposition of property and equipment during the year as compared to the previous year.

**Note 22 – Miscellaneous Income**

| <b>Account</b>       | <b>2024</b>         | <b>2023</b>         |
|----------------------|---------------------|---------------------|
| Miscellaneous Income | 1,236,253.20        | 6,094,704.86        |
| <b>Total</b>         | <b>1,236,253.20</b> | <b>6,094,704.86</b> |

The decrease in *Miscellaneous Income* pertains to the receipts of fines and penalties for violation of various City ordinances. Compliance of the public to various City Ordinances resulted in the decrease in the collected fines and penalties.

**Note 23 – Personnel Services**

| <b>Accounts</b>                           | <b>2024</b>             | <b>2023</b>             |
|-------------------------------------------|-------------------------|-------------------------|
| <b>Salaries and Wages</b>                 |                         |                         |
| Salaries and Wages - Regular              | 3,435,186,541.64        | 3,351,920,682.81        |
| Salaries and Wages - Casual/Contractual   | 1,017,305.59            | 1,061,191.64            |
| <b>Subtotal</b>                           | <b>3,436,203,847.23</b> | <b>3,352,981,874.45</b> |
| <b>Other Compensation</b>                 |                         |                         |
| Personal Economic Relief Allowance        | 207,515,230.67          | 211,049,009.35          |
| Representation Allowance                  | 24,449,933.85           | 23,770,687.09           |
| Transportation Allowance                  | 23,533,602.36           | 23,754,250.00           |
| Clothing/Uniform Allowance                | 52,362,000.00           | 58,529,056.00           |
| Subsistence Allowance                     | 22,208,850.00           | 25,141,020.00           |
| Laundry Allowance                         | 4,984,212.50            | 5,080,335.00            |
| Productivity Incentive Allowance          | 43,738,442.00           | 49,508,000.00           |
| Honoraria                                 | 4,269,700.00            | 3,989,106.04            |
| Hazard Pay                                | 100,705,720.32          | 102,742,660.00          |
| Longevity Pay                             | 8,139,031.14            | 6,030,766.90            |
| Overtime and Night Pay                    | 62,131,867.77           | 55,588,092.18           |
| Year End Bonus                            | 588,151,446.35          | 545,950,825.85          |
| Cash Gift                                 | 46,659,000.00           | 44,601,500.00           |
| Other Bonuses and Allowances              | 889,789.45              | 703,078.80              |
| <b>Subtotal</b>                           | <b>1,189,738,826.41</b> | <b>1,156,438,387.21</b> |
| <b>Personnel Benefit Contributions</b>    |                         |                         |
| Retirement and Life Insurance Premiums    | 401,127,471.01          | 392,058,449.93          |
| Pag-IBIG Contributions                    | 23,582,602.33           | 11,740,271.49           |
| PhilHealth Contributions                  | 83,537,196.41           | 64,018,419.89           |
| Employees Compensation Insurance Premiums | 10,459,056.19           | 10,770,433.14           |
| <b>Subtotal</b>                           | <b>518,706,325.94</b>   | <b>478,587,574.45</b>   |
| <b>Other Personnel Benefits</b>           |                         |                         |
| Pension Benefits                          | -                       | 112,254.38              |
| Terminal Leave Benefits                   | 205,773,590.30          | 208,980,610.87          |
| Other Personnel Benefits                  | 74,906,672.22           | 79,771,500.00           |
| <b>Subtotal</b>                           | <b>280,680,262.52</b>   | <b>288,864,365.25</b>   |
| <b>Total</b>                              | <b>5,425,329,262.10</b> | <b>5,276,872,201.36</b> |

The increase in overall *Personnel Services* accounts is due to hiring of new employees, promotion of personnel, and the implementation of the Salary Standardization Law for CY 2023.

The increase in *Honoraria* pertains to higher remuneration paid in relation to gender and development related programs.

The increase in *Pag-IBIG Contributions* account is due to the increase in mandatory contribution from P100.00 to P200.00 during CY 2024.

The increase in *PhilHealth Contributions* account is due to increase in mandatory contribution rate from three percent to four percent.

The decrease in *Other Personnel Benefits* accounts is merely due to the fewer employees that have resigned and retired during the year 2024 as compared to previous year.

**Note 24 – Maintenance and Other Operating Expenses**

| <b>Accounts</b>                                  | <b>2024</b>             | <b>2023</b>             |
|--------------------------------------------------|-------------------------|-------------------------|
| <b>Traveling Expenses</b>                        |                         |                         |
| Traveling Expenses - Local                       | 23,417,226.01           | 21,148,157.72           |
| Traveling Expenses - Foreign                     | 159,344.11              | -                       |
| <b>Subtotal</b>                                  | <b>23,576,570.12</b>    | <b>21,148,157.72</b>    |
| <b>Training and Scholarship Expenses</b>         |                         |                         |
| Training Expenses                                | 8,845,739.06            | 14,067,739.62           |
| <b>Subtotal</b>                                  | <b>8,845,739.06</b>     | <b>14,067,739.62</b>    |
| <b>Supplies and Materials Expenses</b>           |                         |                         |
| Office Supplies Expenses                         | 79,756,942.20           | 162,817,520.10          |
| Accountable Forms Expenses                       | 919,990.00              | 481,055.00              |
| Non-Accountable Forms Expenses                   | -                       | 1,406,700.00            |
| Animal/Zoological Supplies Expenses              | 12,068,806.75           | 28,986,877.84           |
| Food Supplies Expenses                           | 66,933,025.16           | 187,343,547.03          |
| Welfare Goods Expenses                           | 211,047,823.59          | 695,702,085.00          |
| Drugs and Medicines Expenses                     | 315,922,165.05          | 360,835,361.84          |
| Medical, Dental and Laboratory Supplies Expenses | 189,898,337.86          | 446,896,761.30          |
| Fuel, Oil and Lubricants Expenses                | 4,265,570.13            | 66,774,271.55           |
| Textbooks and Instructional Materials Expenses   | 351,110,316.41          | 375,589,104.76          |
| Other Supplies and Materials Expenses            | 535,302,549.10          | 957,082,205.75          |
| <b>Subtotal</b>                                  | <b>1,767,225,526.25</b> | <b>3,283,915,490.17</b> |
| <b>Utility Expenses</b>                          |                         |                         |
| Water Expenses                                   | 233,442,793.00          | 221,020,709.30          |
| Electricity Expenses                             | 587,223,497.04          | 583,339,800.55          |
| <b>Subtotal</b>                                  | <b>820,666,290.04</b>   | <b>804,360,509.85</b>   |

| <b>Accounts</b>                                              | <b>2024</b>             | <b>2023</b>             |
|--------------------------------------------------------------|-------------------------|-------------------------|
| <b>Communication Expenses</b>                                |                         |                         |
| Postage and Courier Services                                 | -                       | 9,000.00                |
| Telephone Expenses                                           | 14,336,436.31           | 15,517,555.44           |
| Internet Subscription Expenses                               | 28,546,627.06           | 35,295,918.70           |
| <b>Subtotal</b>                                              | <b>42,883,063.37</b>    | <b>50,822,474.14</b>    |
| <b>Awards/Rewards and Prizes</b>                             |                         |                         |
| Awards/Rewards Expenses                                      | 2,407,214.30            | 3,779,050.00            |
| Prizes                                                       | 75,000.00               | 70,500.00               |
| <b>Subtotal</b>                                              | <b>2,482,214.30</b>     | <b>3,849,550.00</b>     |
| <b>Demolition/Relocation and Desilting/Dredging Expenses</b> |                         |                         |
| Demolition and Relocation Expenses                           | 38,250.00               | -                       |
| <b>Subtotal</b>                                              | <b>38,250.00</b>        | <b>-</b>                |
| <b>Confidential, Intelligence and Extraordinary Expenses</b> |                         |                         |
| Confidential Expenses                                        | 120,000,000.00          | 120,000,000.00          |
| Extraordinary and Miscellaneous Expenses                     | 23,432,329.13           | 21,526,508.57           |
| <b>Subtotal</b>                                              | <b>143,432,329.13</b>   | <b>141,526,508.57</b>   |
| <b>Professional Services</b>                                 |                         |                         |
| Auditing Services                                            | 2,882,600.58            | 2,216,661.75            |
| Consultancy Services                                         | 65,370,151.17           | 61,661,976.97           |
| Other Professional Services                                  | 523,594,424.19          | 476,633,773.78          |
| <b>Subtotal</b>                                              | <b>591,847,175.94</b>   | <b>540,512,412.50</b>   |
| <b>General Services</b>                                      |                         |                         |
| Environment/Sanitary Services                                | 969,317,775.69          | 972,161,533.69          |
| Janitorial Services                                          | 45,862,162.74           | 125,291,234.20          |
| Security Services                                            | 116,092,406.75          | 96,432,883.14           |
| Other General Services                                       | 1,199,353,110.10        | 1,273,485,085.57        |
| <b>Subtotal</b>                                              | <b>2,330,625,455.28</b> | <b>2,467,370,736.60</b> |
| <b>Repairs and Maintenance</b>                               |                         |                         |
| Repairs and Maintenance - Infrastructure Assets              | 103,084,148.11          | 55,560,166.00           |
| Repairs and Maintenance - Buildings and Other Structures     | 21,763,450.50           | 598,804.00              |
| Repairs and Maintenance - Machinery and Equipment            | 5,282,968.06            | 1,972,258.40            |
| Repairs and Maintenance - Transportation Equipment           | 555,018.00              | 142,350.00              |
| Repairs and Maintenance - Furniture and Fixtures             | 49,995.00               | 49,975.00               |
| <b>Subtotal</b>                                              | <b>130,735,579.67</b>   | <b>58,323,553.40</b>    |
| <b>Taxes, Insurance Premiums and Other Fees</b>              |                         |                         |
| Taxes, Duties and Licenses                                   | 5,765,082.73            | 3,370,140.06            |
| Fidelity Bond Premiums                                       | 1,611,515.75            | 1,434,154.01            |
| Insurance Expenses                                           | 30,698,095.82           | 32,749,881.07           |
| <b>Subtotal</b>                                              | <b>38,074,694.30</b>    | <b>37,554,175.14</b>    |
| <b>Other Maintenance and Operating Expenses</b>              |                         |                         |
| Advertising Expenses                                         | 23,466,284.62           | 29,509,913.02           |
| Printing and Publication Expenses                            | 14,561,448.38           | 13,997,768.96           |
| Representation Expenses                                      | 34,425,421.75           | 37,952,605.33           |

| <b>Accounts</b>                                    | <b>2024</b>             | <b>2023</b>              |
|----------------------------------------------------|-------------------------|--------------------------|
| Rent Expenses                                      | 26,216,012.18           | 27,262,564.36            |
| Membership Dues and Contributions to Organizations | 867,743.00              | 1,744,502.08             |
| Subscription Expenses                              | 201,025.00              | 162,171.00               |
| Donations                                          | 1,161,812,210.23        | 1,702,661,533.91         |
| Other Maintenance and Operating Expenses           | 1,132,441,544.70        | 1,768,968,073.50         |
| <b>Subtotal</b>                                    | <b>2,393,991,689.86</b> | <b>3,582,259,132.16</b>  |
| <b>Total</b>                                       | <b>8,294,424,577.32</b> | <b>11,005,710,439.87</b> |

The increase in *Traveling Expenses - Local and Foreign* is due to increase in official travel opportunities for employees in the performance of their function.

The decrease in *Training Expenses* is due to the limited participations in conduct of trainings, seminars and conventions as compared to the previous year.

The decrease in *Office Supplies Expenses* is due to the lesser consumption of the balance of the supplies procured from previous year for the operations of the City.

The increase in *Accountable Forms Expenses* is due to the lesser consumption of the balance of the accountable forms for the operations of the City during CY 2024.

The decrease in *Non-Accountable Forms Expenses* is due to no consumption of non-accountable forms as compared to previous year.

The decrease in *Animal/Zoological Supplies Expenses* decrease in consumption of such supplies as a result of the reopening of Manila Zoo.

The decrease in *Food Supplies Expenses, Welfare Goods Expenses, Drugs and Medicines Expenses, and Medical, Dental and Laboratory Supplies Expenses* pertains to lesser procurement of food supplies for the six city-funded hospitals, the cessation of giving food packs to qualified residents of the City, the lower procurement of drugs and medicines, medical, dental and laboratory supplies for Manila Health Department and the six City-funded hospitals due to decrease of the effects of COVID-19 pandemic.

The decrease in *Fuel, Oil and Lubricants Expenses* is due to decrease in the prices of gasoline and fuel in CY 2024 as well as consumption of the latter.

The decrease in *Other Supplies and Materials Expenses* is a result of decrease in purchases of school bags, notebooks, and other school supplies for students.

The increase in *Water Expenses and Electricity Expenses* is a result of increase in rates of water and electricity for CY 2024.

The decrease in *Postage and Courier Services Expenses* is a result of non-availing of courier services during CY 2024.



The decrease in *Awards/Rewards Expenses* is due to fewer activities during CY 2024 for which recognition and awards are given.

The increase in *Demolition and Relocation Expenses* is due to the demolition cost incurred by the City during the demolition operation for the year 2024.

The increase in *Extraordinary and Miscellaneous Expenses* is due to higher expenditures incurred from the city's day to day operations.

The increase in *Auditing Services* is due to increase in the consumption of office supplies by the auditing team.

The increase in *Consultancy Services and Other General Services* is due hiring of additional consultants and job order employees paid by city in different offices.

The City hires additional job order and contractual employees who are responsible for the maintenance and sanitation of the City, which contributes on the decrease for janitorial services during CY 2024.

The increase in *Repairs and Maintenance - Infrastructure Assets, Repairs and Maintenance - Buildings and Other Structures, Repairs and Maintenance - Machinery and Equipment, Repairs and Maintenance - Transportation Equipment* and pertains to massive repairs, improvements and preventive maintenance of the City's buildings, infrastructure, and transportation equipment.

The increase in *Taxes, Duties and Licenses* is due to increase in registration and accreditation of various employees as pollution control officer.

The decrease in *Insurance Expenses* is due to the decrease in the number of real properties being insured by the City.

The decrease in *Rent Expenses* pertains to lesser rental of rehabilitation equipment, copier machine, lights and sound system, and other equipment.

The decrease in *Membership Dues and Contributions* pertains to fewer membership dues in relation to City's hospitals as compared to the previous year.

The *Donations* includes monthly monetary allowances granted to PWD and Senior Citizens of Manila, and to students under the Division of City Schools. Decrease in this account is due to decrease in the number of qualified recipients of such allowances.

The decrease in *Other Maintenance and Operating Expenses* is due to lesser procurement of personal protective equipment for healthcare workers and other frontliners, as well as supplies for the disinfection of the City, allowances of the uniformed personnel implementing the peace and order and compliance to the health measures set by the health experts.

**Note 25 – Financial Expenses**

| <b>Accounts</b>   | <b>2024</b>             | <b>2023</b>           |
|-------------------|-------------------------|-----------------------|
| Interest Expenses | 1,186,632,679.03        | 731,165,867.57        |
| Bank Charges      | 10,630.00               | 120,000.00            |
| <b>Total</b>      | <b>1,186,643,309.03</b> | <b>731,285,867.57</b> |

The increase in *Interest Expenses* is due to increase of the Loans Payable of the City.

The decrease in *Bank Charges* is mainly due to the closure of time deposits during CY 2024.

**Note 26 – Non-Cash Expenses**

| <b>Accounts</b>                                    | <b>2024</b>             | <b>2023</b>             |
|----------------------------------------------------|-------------------------|-------------------------|
| <b>Depreciation</b>                                |                         |                         |
| Depreciation - Land Improvements                   | 2,480,830.15            | 2,504,105.48            |
| Depreciation - Infrastructure Assets               | -                       | 652,755.18              |
| Depreciation - Buildings and Other Structures      | 866,382,041.99          | 850,303,501.60          |
| Depreciation - Machinery and Equipment             | 697,149,114.90          | 628,920,878.19          |
| Depreciation - Transportation Equipment            | 69,687,463.99           | 93,708,192.64           |
| Depreciation - Furniture, Fixtures and Books       | 14,144,469.95           | 6,442,701.93            |
| Depreciation - Other Property, Plant and Equipment | 63,878,615.77           | 75,097,269.99           |
| <b>Total</b>                                       | <b>1,713,722,536.75</b> | <b>1,657,629,405.01</b> |

These accounts are used to record the periodic allocation of cost for the wear and tear of Land Improvements, Buildings and Other Structures, Machinery and Equipment, Transportation Equipment, Furniture, Fixtures and Books, and other PPE.

The overall increase in the depreciation expense of the City is attributed to additional procurement of properties and equipment during the year.

No *Impairment Loss - Property, Plant and Equipment* is mainly due to non-incurrence of impaired properties in CY 2024.

**Note 27 – Transfers, Assistance and Subsidy From**

| <b>Account</b>                   | <b>2024</b> | <b>2023</b>          |
|----------------------------------|-------------|----------------------|
| Subsidy from National Government | -           | 26,892,809.75        |
| <b>Total</b>                     | <b>-</b>    | <b>26,892,809.75</b> |

The *Subsidy from National Government* consists of fund transfers from National Government to be used by the City for implementation of projects with specific purpose such as Other Financial Assistance from Local Government Support Fund. During CY 2024, no financial assistance from the national government has been received by the City.

**Note 28 – Transfers, Assistance and Subsidy To**

| <b>Accounts</b>                                                 | <b>2024</b>           | <b>2023</b>           |
|-----------------------------------------------------------------|-----------------------|-----------------------|
| <b>Financial Assistance/Subsidy</b>                             |                       |                       |
| Subsidies - Others                                              | 226,000,000.00        | 328,616,000.00        |
| <b>Transfers</b>                                                |                       |                       |
| Transfers of Unspent Current Year DRRM Funds to the Trust Funds | 606,768,716.90        | 522,651,487.40        |
| <b>Total</b>                                                    | <b>832,768,716.90</b> | <b>851,267,487.40</b> |

The decrease in *Subsidies - Others* pertains to decrease in subsidy for operating purposes of the Pamantasan ng Lungsod ng Maynila and the Social Amelioration Program for the students' monthly allowances.

The *Transfers of Unspent Current Year DRRM Funds to the Trust Funds* pertains to the transfer of under-utilized DRRM funds for CY 2024. The details of the movement in the account can be found in Note 14 - Trust Liabilities.

**Note 29 – Cash Flow Information and Non-cash Transactions**

Reconciliation of Net Cash Flow from Operating Activities:

| <b>Particulars</b>                         | <b>2024</b>             |
|--------------------------------------------|-------------------------|
| <b>Surplus/(Deficit)</b>                   | <b>4,384,202,980.38</b> |
| Transfer, Subsidies and Assistance         | -                       |
| Non-Cash transactions:                     |                         |
| Depreciation Expense                       | 1,713,722,536.75        |
| Grants and Donations in Kind               | (6,033.36)              |
| Gains on sale of PPE                       | (207,181.45)            |
| Increase in Current Liabilities            | 2,613,015,924.92        |
| Increase in Investments                    | (4,201,790.00)          |
| Increase in Current Receivables            | (4,793,269,754.01)      |
| Increase in Inventory                      | (29,527,146.34)         |
| Increase in Prepayments - Deferred Charges | (45,140,039.30)         |
| Other Adjustments                          | (872,668,850.82)        |
| <b>Net Cash from Operating Activities</b>  | <b>2,965,920,646.77</b> |

The *Other Adjustments* for CY 2023 stemmed from Prior Period Adjustments that directly affected real accounts (such as assets, liabilities, and equity) without impacting current income accounts. These adjustments arose from the payment of accounts payable that had been written off after remaining outstanding for over

two years and were subsequently reinstated and charged against unappropriated retained earnings. Further details are outlined below:

| <b>Particulars</b>                                | <b>Increase/<br/>(Decrease)</b> |
|---------------------------------------------------|---------------------------------|
| Merchandise Inventory                             | (9,110,335.05)                  |
| Welfare Goods for Distribution                    | (229,283,421.43)                |
| Office Supplies Inventory                         | (6,118,413.13)                  |
| Accountable Forms, Plates and Stickers            | (461,798.33)                    |
| Animal/Zoological Supplies Inventory              | (11,155,164.50)                 |
| Food Supplies Inventory                           | (79,394,345.36)                 |
| Drugs and Medicines Inventory                     | (29,614,138.38)                 |
| Medical, Dental and Laboratory Supplies Inventory | (169,455,470.09)                |
| Fuel, Oil and Lubricants Inventory                | (41,215,978.07)                 |
| Textbooks and Instructional Materials Inventory   | (16,140,428.15)                 |
| Construction Materials Inventory                  | (2,613,099.82)                  |
| Other Supplies and Materials Inventory            | (278,106,258.51)                |
| <b>Total</b>                                      | <b>(872,668,850.82)</b>         |

**Note 30 – Reconciliation of the Statement of Comparison of Budget and Actual Amounts and the Statement of Financial Performance**

|                                                               | Income                   | Personal Services       | MOOE                    | Financial Expenses      | Capital Outlay     |
|---------------------------------------------------------------|--------------------------|-------------------------|-------------------------|-------------------------|--------------------|
| Statement of Comparison of Budget and Actual                  | 23,412,764,661.06        | 5,425,329,262.10        | 9,127,193,294.22        | 1,186,643,309.03        | 2,313,626,476.49   |
| Basis Differences:                                            | -                        | -                       | -                       | -                       | -                  |
| Income not considered budgetary items                         |                          |                         |                         |                         |                    |
| Gain on Sale of Assets                                        |                          |                         |                         |                         |                    |
| Budgetary items not considered as expenses                    |                          |                         |                         |                         |                    |
| Loan Repayment                                                |                          |                         |                         |                         |                    |
| Capital Expenditures                                          |                          |                         |                         |                         | (2,313,626,476.49) |
| Receipts not considered as income:                            |                          |                         |                         |                         |                    |
| Loan Proceeds                                                 | (1,575,673,278.58)       |                         |                         |                         |                    |
| Non-cash expenses:                                            |                          |                         |                         |                         |                    |
| Depreciation                                                  |                          |                         | 1,713,722,536.75        |                         |                    |
| Timing Difference                                             | -                        | -                       | -                       | -                       | -                  |
| Prepayments charged to current appropriations                 |                          |                         |                         |                         |                    |
| Transfer of Unspent Current Year DRRM Funds to the Trust Fund |                          |                         | 606,768,716.90          |                         |                    |
| Unconsumed Inventories charged to current appropriations      |                          |                         | (3,153,259,970.55)      |                         |                    |
| Bank Charges                                                  |                          |                         |                         |                         |                    |
| Actual Difference                                             | -                        | -                       | -                       | -                       | -                  |
| <b>Per Statement of Financial Performance</b>                 | <b>21,837,091,382.48</b> | <b>5,425,329,262.10</b> | <b>8,294,424,577.32</b> | <b>1,186,643,309.03</b> | <b>-</b>           |

## Note 31 – Restatement

In CY 2024, the City of Manila reported transactions, adjustments and errors which should have been recorded in CY 2023 and prior, such as:

- Effect of reconciliation of Property, Plant and Equipment
- Derecognition of payables without complete supporting documents
- Reversal of outstanding payables for two years and more
- Effect of reconciliation on Inventory accounts and related Expense accounts
- Adjustment to Tax Revenue pertaining to prior year

### Statement of Financial Position – Restated (All Funds) As at December 31, 2023

| Accounts                                                 | Previously Reported      | Adjustments | Restated                 |
|----------------------------------------------------------|--------------------------|-------------|--------------------------|
| <b>ASSETS</b>                                            |                          |             |                          |
| Cash Local Treasury                                      | 61,874,250.44            | -           | 61,874,250.44            |
| Petty Cash                                               | 5,220,618.83             | -           | 5,220,618.83             |
| Cash in Bank – Local Currency, Current Account           | 8,763,236,872.93         | -           | 8,763,236,872.93         |
| Cash in Bank - Foreign Currency, Savings Account         | 257,912.20               | -           | 257,912.20               |
| Cash in Bank - Local Currency, Time Deposits             | 473,824,793.47           | -           | 473,824,793.47           |
| <b>Total Cash</b>                                        | <b>9,304,414,447.87</b>  | -           | <b>9,304,414,447.87</b>  |
| Financial Assets Held for Trading                        | 418,682.15               | -           | 418,682.15               |
| Guaranty Deposits                                        | 24,797,425.23            | -           | 24,797,425.23            |
| Investment in Joint Ventures                             | 1,404,067,841.72         | -           | 1,404,067,841.72         |
| <b>Total Investment</b>                                  | <b>1,429,283,949.10</b>  | -           | <b>1,429,283,949.10</b>  |
| Accounts Receivable                                      | 284,672,821.47           | -           | 284,672,821.47           |
| Real Property Tax Receivable                             | 14,429,240,370.51        | -           | 14,429,240,370.51        |
| Special Education Tax Receivable                         | 7,621,729,979.29         | -           | 7,621,729,979.29         |
| Loans Receivable - Others                                | 199,681,970.59           | -           | 199,681,970.59           |
| Operating Lease Receivable                               | 77,358,375.75            | -           | 77,358,375.75            |
| Due from National Government Agencies                    | 488,035,906.34           | -           | 488,035,906.34           |
| Due from Government-Owned and/or Controlled Corporations | 40,196,650.27            | -           | 40,196,650.27            |
| Due from Local Government Units                          | 77,717,364.94            | -           | 77,717,364.94            |
| Due from Joint Venture                                   | 60,484,568.70            | -           | 60,484,568.70            |
| Due from Other Funds                                     | 0.06                     | -           | 0.06                     |
| Advances for Payroll                                     | 23,587,978.06            | -           | 23,587,978.06            |
| Advances to Special Disbursing Officer                   | 149,079,916.90           | -           | 149,079,916.90           |
| Advances for Officers and Employees                      | 3,207,090.26             | -           | 3,207,090.26             |
| Receivables - Disallowances/Charges                      | 1,972,954.21             | -           | 1,972,954.21             |
| Due from Officers and Employees                          | 17,473.56                | -           | 17,473.56                |
| Other Receivables                                        | 1,306,354,067.20         | -           | 1,306,354,067.20         |
| <b>Total Receivables</b>                                 | <b>24,763,337,488.11</b> | -           | <b>24,763,337,488.11</b> |
| Merchandise Inventory                                    | 29,816,855.50            | -           | 29,816,855.50            |

| <b>Accounts</b>                                    | <b>Previously Reported</b> | <b>Adjustments</b> | <b>Restated</b>          |
|----------------------------------------------------|----------------------------|--------------------|--------------------------|
| Welfare Goods Inventory                            | 3,032,200.00               | -                  | 3,032,200.00             |
| Office Supplies Inventory                          | 25,339,855.06              | -                  | 25,339,855.06            |
| Accountable Forms, Plates and Stickers             | 2,354,220.00               | -                  | 2,354,220.00             |
| Animal/Zoological Supplies Inventory               | 451,800.00                 |                    | 451,800.00               |
| Food Supplies Inventory                            | 8,920,776.85               | -                  | 8,920,776.85             |
| Drugs and Medicines Inventory                      | 37,478,556.90              | -                  | 37,478,556.90            |
| Medical, Dental and Laboratory Supplies Inventory  | 112,734,614.50             | -                  | 112,734,614.50           |
| Fuel, Oil and Lubricants Inventory                 | 6,288,620.49               | -                  | 6,288,620.49             |
| Textbooks and Instructional Materials Inventory    | -                          | -                  | -                        |
| Construction Materials Inventory                   | 4,481,605.00               |                    | 4,481,605.00             |
| Other Supplies and Materials Inventory             | 49,481,278.36              | -                  | 49,481,278.36            |
| <b>Total Inventories</b>                           | <b>280,380,382.66</b>      | <b>-</b>           | <b>280,380,382.66</b>    |
| Advances to Contractors                            | 1,962,102,224.18           | -                  | 1,962,102,224.18         |
| Prepaid Insurance                                  | 115,710,459.84             | -                  | 115,710,459.84           |
| Prepaid Interest                                   | -                          | -                  | -                        |
| Other Prepayments                                  | 59,503,804.19              | -                  | 59,503,804.19            |
| Discount on Advance Payments                       | 1,360,216.10               | -                  | 1,360,216.10             |
| <b>Total Prepayments and Deferred Charges</b>      | <b>2,138,676,704.31</b>    | <b>-</b>           | <b>2,138,676,704.31</b>  |
| <b>Total Current Assets</b>                        | <b>37,916,092,972.05</b>   | <b>-</b>           | <b>37,916,092,972.05</b> |
| Investment Property, Land                          | 248,912,041.85             | -                  | 248,912,041.85           |
| <b>Total Investment Property</b>                   | <b>248,912,041.85</b>      | <b>-</b>           | <b>248,912,041.85</b>    |
| Land                                               | 3,924,462,851.59           | -                  | 3,924,462,851.59         |
| Other Land Improvements                            | 56,295,953.80              | -                  | 56,295,953.80            |
| Road Networks                                      | 2,322,914,290.19           | -                  | 2,322,914,290.19         |
| Sewer Systems                                      | 20,126,572.56              |                    | 20,126,572.56            |
| Parks, Plazas and Monuments                        | 1,140,620,341.95           | -                  | 1,140,620,341.95         |
| Other Infrastructure Assets                        | 2,677,949,063.54           | -                  | 2,677,949,063.54         |
| Buildings                                          | 1,733,191,586.36           | -                  | 1,733,191,586.36         |
| School Buildings                                   | 10,941,801,677.89          | -                  | 10,941,801,677.89        |
| Hospitals and Health Centers                       | 3,457,965,096.24           | -                  | 3,457,965,096.24         |
| Markets                                            | 309,820,693.92             | -                  | 309,820,693.92           |
| Slaughterhouses                                    | 71,408,057.40              | -                  | 71,408,057.40            |
| Other Structures                                   | 4,106,296,436.45           | -                  | 4,106,296,436.45         |
| Machinery                                          | 965,243.33                 | -                  | 965,243.33               |
| Office Equipment                                   | 38,091,137.51              | -                  | 38,091,137.51            |
| Information and Communication Technology Equipment | 296,329,125.33             | -                  | 296,329,125.33           |
| Communication Equipment                            | 14,329,535.47              | -                  | 14,329,535.47            |
| Construction and Heavy Equipment                   | 191,041,334.36             |                    | 191,041,334.36           |
| Disaster Response and Rescue Equipment             | 347,914,592.06             |                    | 347,914,592.06           |
| Military, Police and Security Equipment            | -                          | -                  | -                        |
| Medical Equipment                                  | 2,211,489,831.59           | -                  | 2,211,489,831.59         |
| Technical and Scientific Equipment                 | 30,209,458.00              |                    | 30,209,458.00            |
| Other Machinery and Equipment                      | 129,779,910.20             | -                  | 129,779,910.20           |
| Motor Vehicles                                     | 307,978,903.93             | -                  | 307,978,903.93           |
| Watercrafts                                        | -                          | -                  | -                        |
| Furniture and Fixtures                             | 24,548,209.43              | -                  | 24,548,209.43            |
| Books                                              | 383,609.01                 | -                  | 383,609.01               |
| Construction in Progress - Infrastructure Assets   | 73,372,872.97              | -                  | 73,372,872.97            |

| <b>Accounts</b>                                                 | <b>Previously Reported</b> | <b>Adjustments</b> | <b>Restated</b>          |
|-----------------------------------------------------------------|----------------------------|--------------------|--------------------------|
| Construction in Progress – Buildings and Other Structures       | 8,527,414,713.48           | -                  | 8,527,414,713.48         |
| Work/Zoo Animals                                                | 24,239,000.00              | -                  | 24,239,000.00            |
| Other Property, Plant and Equipment                             | 242,530,848.91             | -                  | 242,530,848.91           |
| <b>Total Property, Plant and Equipment</b>                      | <b>43,223,470,947.47</b>   | <b>-</b>           | <b>43,223,470,947.47</b> |
| Computer Software                                               | 291,955,830.24             | -                  | 291,955,830.24           |
| <b>Total Intangible Assets</b>                                  | <b>291,955,830.24</b>      | <b>-</b>           | <b>291,955,830.24</b>    |
| <b>Total Non-Current Assets</b>                                 | <b>43,764,338,819.56</b>   | <b>-</b>           | <b>43,764,338,819.56</b> |
| <b>Total Assets</b>                                             | <b>81,680,431,791.61</b>   | <b>-</b>           | <b>81,680,431,791.61</b> |
| <b>LIABILITIES</b>                                              |                            |                    |                          |
| Accounts Payable                                                | 4,577,292,672.32           | -                  | 4,577,292,672.32         |
| Due to Officers and Employees                                   | 510,590,607.26             | -                  | 510,590,607.26           |
| Interest Payable                                                | 85,227,622.47              | -                  | 85,227,622.47            |
| Operating Lease Payable                                         | 5,775.68                   | -                  | 5,775.68                 |
| Loans Payable - Domestic                                        | 607,974,402.50             | -                  | 607,974,402.50           |
| <b>Total Financial Liabilities</b>                              | <b>5,781,091,080.23</b>    | <b>-</b>           | <b>5,781,091,080.23</b>  |
| Due to BIR                                                      | 472,852,467.82             | -                  | 472,852,467.82           |
| Due to GSIS                                                     | 125,639,214.27             | -                  | 125,639,214.27           |
| Due to Pag-IBIG                                                 | 27,858,016.61              | -                  | 27,858,016.61            |
| Due to PhilHealth                                               | 33,705,105.57              | -                  | 33,705,105.57            |
| Due to NGAs                                                     | 390,244,090.61             | -                  | 390,244,090.61           |
| Due to GOCCs                                                    | 451,294,696.68             | -                  | 451,294,696.68           |
| Due to LGUs                                                     | 947,576,168.21             | -                  | 947,576,168.21           |
| <b>Total Inter-Agency Payables</b>                              | <b>2,449,169,759.77</b>    | <b>-</b>           | <b>2,449,169,759.77</b>  |
| Trust Liabilities                                               | 838,224,434.34             | -                  | 838,224,434.34           |
| Trust Liabilities - Disaster Risk Reduction and Management Fund | 1,281,597,926.94           | -                  | 1,281,597,926.94         |
| Bail Bonds Payable                                              | 169,017,213.61             | -                  | 169,017,213.61           |
| Guaranty/Security Deposits Payable                              | 124,138,597.03             | -                  | 124,138,597.03           |
| <b>Total Trust Liabilities</b>                                  | <b>2,412,978,171.92</b>    | <b>-</b>           | <b>2,412,978,171.92</b>  |
| Other Payables                                                  | 1,364,673,949.27           | -                  | 1,364,673,949.27         |
| <b>Total Other Payables</b>                                     | <b>1,364,673,949.27</b>    | <b>-</b>           | <b>1,364,673,949.27</b>  |
| <b>Total Current Liabilities</b>                                | <b>12,007,912,961.19</b>   | <b>-</b>           | <b>12,007,912,961.19</b> |
| Loans Payable – Domestic (Non-current)                          | 13,604,851,808.77          | -                  | 13,604,851,808.77        |
| <b>Total Financial Liabilities</b>                              | <b>13,604,851,808.77</b>   | <b>-</b>           | <b>13,604,851,808.77</b> |
| Deferred Real Property Tax                                      | 3,049,264,337.65           | -                  | 3,049,264,337.65         |
| Deferred Special Education Tax                                  | 1,350,389,773.50           | -                  | 1,350,389,773.50         |
| Other Deferred Credits                                          | 1,362,346,021.22           | -                  | 1,362,346,021.22         |
| <b>Total Deferred Credits</b>                                   | <b>5,762,000,132.37</b>    | <b>-</b>           | <b>5,762,000,132.37</b>  |
| <b>Total Non-Current Liabilities</b>                            | <b>19,366,851,941.14</b>   | <b>-</b>           | <b>19,366,851,941.14</b> |
| <b>Total Liabilities</b>                                        | <b>31,374,764,902.33</b>   | <b>-</b>           | <b>31,374,764,902.33</b> |
| <b>NET ASSETS/EQUITY</b>                                        |                            |                    |                          |
| Government Equity                                               | 47,302,326,508.47          | (2,365,570,497.80) | 44,936,756,010.67        |
| Prior Period Adjustment                                         | -                          | 3,575,527,428.76   | 3,575,527,428.76         |
| Income and Expense Summary                                      | 3,003,340,380.81           | (1,209,956,930.96) | 1,793,383,449.85         |
| <b>Total Net Assets/Equity</b>                                  | <b>50,305,666,889.28</b>   | <b>-</b>           | <b>50,305,666,889.28</b> |
| <b>Total Liabilities and Net Assets/Equity</b>                  | <b>81,680,431,791.61</b>   | <b>-</b>           | <b>81,680,431,791.61</b> |



**Statement of Financial Performance – Restated**  
**As at December 31, 2023**

| Accounts                                               | Note | Previously Reported      | Adjustments         | Restated                 |
|--------------------------------------------------------|------|--------------------------|---------------------|--------------------------|
| <b>INCOME</b>                                          |      |                          |                     |                          |
| Professional Tax                                       |      | 5,236,006.50             | -                   | 5,236,006.50             |
| Community Tax                                          |      | 117,540,135.06           | -                   | 117,540,135.06           |
| Real Property Tax                                      |      | 6,876,068,389.99         | -                   | 6,876,068,389.99         |
| Discount on Real Property Tax -Basic                   |      | (542,390,935.30)         | -                   | (542,390,935.30)         |
| Special Education Tax                                  |      | 3,769,677,262.10         | -                   | 3,769,677,262.10         |
| Discount on Special Education Tax                      |      | (428,652,752.44)         | -                   | (428,652,752.44)         |
| Real Property Transfer Tax                             |      | 374,802,129.06           | -                   | 374,802,129.06           |
| Business Tax                                           |      | 4,669,617,956.86         | -                   | 4,669,617,956.86         |
| Amusement Tax                                          |      | 26,422,820.38            | -                   | 26,422,820.38            |
| Franchise Tax                                          |      | 210,190,562.09           | -                   | 210,190,562.09           |
| Printing and Publication Tax                           |      | 117,196.14               | -                   | 117,196.14               |
| Other Taxes                                            |      | 4,582,900.17             | -                   | 4,582,900.17             |
| Tax Revenue - Fines and Penalties - Other Taxes        |      | 271,961,689.46           | -                   | 271,961,689.46           |
| Share from Internal Revenue Collections                |      | 4,249,406,041.00         | -                   | 4,249,406,041.00         |
| <b>Total Revenue</b>                                   |      | <b>19,604,579,401.07</b> | -                   | <b>19,604,579,401.07</b> |
| Permit Fees                                            |      | 518,320,682.73           | -                   | 518,320,682.73           |
| Registration Fees                                      |      | 12,639,287.50            | -                   | 12,639,287.50            |
| Registration Plates, Tags and Stickers Fees            |      | 203,575.00               | -                   | 203,575.00               |
| Clearance and Certification Fees                       |      | 146,406,356.59           | -                   | 146,406,356.59           |
| Inspection Fees                                        |      | 76,913,406.30            | -                   | 76,913,406.30            |
| Processing Fees                                        |      | 41,806,508.25            | -                   | 41,806,508.25            |
| Occupation Fees                                        |      | 33,632,720.00            | -                   | 33,632,720.00            |
| Fees for Sealing and Licensing of Weights and Measures |      | 2,052,185.30             | -                   | 2,052,185.30             |
| Fines and Penalties – Service Income                   |      | 472,542.03               | -                   | 472,542.03               |
| Other Service Income                                   |      | 120,456.74               | -                   | 120,456.74               |
| School Fees                                            |      | 25,799.04                | -                   | 25,799.04                |
| Affiliation Fees                                       |      | 1,726,298.76             | -                   | 1,726,298.76             |
| Rent Income                                            |      | 84,559,827.00            | -                   | 84,559,827.00            |
| Road Network Fees                                      |      | 6,372,797.50             | -                   | 6,372,797.50             |
| Parking Fees                                           |      | 124,510,737.30           | -                   | 124,510,737.30           |
| Receipts from Market Operations                        |      | 79,335,009.37            | -                   | 79,335,009.37            |
| Receipts from Slaughterhouse Operation                 |      | 31,929,451.48            | -                   | 31,929,451.48            |
| Receipts from Cemetery Operations                      |      | 18,902,574.65            | -                   | 18,902,574.65            |
| Receipts from Printing and Publication                 |      | 2,450.00                 | -                   | 2,450.00                 |
| Garbage Fees                                           |      | 160,201,398.72           |                     | 160,201,398.72           |
| Hospital Fees                                          | a    | 26,557,497.05            | (651,021.00)        | 25,906,476.05            |
| Interest Income                                        |      | 23,487,325.30            | -                   | 23,487,325.30            |
| Other Business Income                                  |      | 205,853,365.67           | -                   | 205,853,365.67           |
| <b>Total Service and Business Income</b>               |      | <b>1,596,032,252.28</b>  | <b>(651,021.00)</b> | <b>1,595,381,231.28</b>  |

| Accounts                                         | Note | Previously Reported      | Adjustments          | Restated                 |
|--------------------------------------------------|------|--------------------------|----------------------|--------------------------|
| Grants and Donations in Kind                     |      | 69,183,724.78            | -                    | 69,183,724.78            |
| <b>Total Grants and Donation</b>                 |      | <b>69,183,724.78</b>     | <b>-</b>             | <b>69,183,724.78</b>     |
| Gain on Sale of Property, Plant and Equipment    | b    | 14,055,323.94            | (38,344.62)          | 14,016,979.32            |
| <b>Total Gains</b>                               |      | <b>14,055,323.94</b>     | <b>(38,344.62)</b>   | <b>14,016,979.32</b>     |
| Miscellaneous Income                             |      | 6,094,704.86             | -                    | 6,094,704.86             |
| <b>Total Miscellaneous Income</b>                |      | <b>6,094,704.86</b>      | <b>-</b>             | <b>6,094,704.86</b>      |
| <b>Total Income</b>                              |      | <b>21,289,945,406.93</b> | <b>(689,365.62)</b>  | <b>21,289,256,041.31</b> |
| <b>EXPENSES</b>                                  |      |                          |                      |                          |
| Salaries and Wages - Regular                     | c    | 3,302,632,330.05         | 49,288,352.76        | 3,351,920,682.81         |
| Salaries and Wages - Casual/Contractual          | d    | 868,835.28               | 192,356.36           | 1,061,191.64             |
| Personal Economic Relief Allowance (PERA)        | e    | 211,150,789.29           | (101,779.94)         | 211,049,009.35           |
| Representation Allowance                         |      | 23,770,687.09            | -                    | 23,770,687.09            |
| Transportation Allowance                         |      | 23,754,250.00            | -                    | 23,754,250.00            |
| Clothing/Uniform Allowance                       | f    | 56,457,056.00            | 2,072,000.00         | 58,529,056.00            |
| Subsistence Allowance                            | g    | 25,140,690.00            | 330.00               | 25,141,020.00            |
| Laundry Allowance                                |      | 5,080,335.00             | -                    | 5,080,335.00             |
| Productivity Incentive Allowance                 | h    | 49,498,000.00            | 10,000.00            | 49,508,000.00            |
| Honoraria                                        | i    | 3,564,200.00             | 424,906.04           | 3,989,106.04             |
| Hazard Pay                                       | j    | 102,722,660.00           | 20,000.00            | 102,742,660.00           |
| Longevity Pay                                    | k    | 6,029,846.45             | 920.45               | 6,030,766.90             |
| Overtime and Night Pay                           | l    | 55,562,983.64            | 25,108.54            | 55,588,092.18            |
| Year End Bonus                                   | m    | 545,443,443.05           | 507,382.80           | 545,950,825.85           |
| Cash Gift                                        | n    | 44,529,000.00            | 72,500.00            | 44,601,500.00            |
| Other Bonuses and Allowances                     | o    | 705,349.00               | (2,270.20)           | 703,078.80               |
| Retirement and Life Insurance Premiums           | p    | 391,983,932.72           | 74,517.21            | 392,058,449.93           |
| Pag-IBIG Contributions                           | q    | 11,714,871.49            | 25,400.00            | 11,740,271.49            |
| PhilHealth Contributions                         | r    | 64,071,396.16            | (52,976.27)          | 64,018,419.89            |
| Employees Compensation Insurance Premiums        | s    | 10,767,995.16            | 2,437.98             | 10,770,433.14            |
| Pension Benefits                                 |      | 112,254.38               | -                    | 112,254.38               |
| Terminal Leave Benefits                          | t    | 204,997,968.61           | 3,982,642.26         | 208,980,610.87           |
| Other Personnel Benefits                         | u    | 79,701,500.00            | 70,000.00            | 79,771,500.00            |
| <b>Total Personnel Services</b>                  |      | <b>5,220,260,373.37</b>  | <b>56,611,827.99</b> | <b>5,276,872,201.36</b>  |
| Traveling Expenses - Local                       | v    | 18,490,357.72            | 2,657,800.00         | 21,148,157.72            |
| Training Expenses                                | w    | 10,379,598.50            | 3,688,141.12         | 14,067,739.62            |
| Office Supplies Expenses                         | x    | 123,158,451.92           | 39,659,068.18        | 162,817,520.10           |
| Accountable Forms Expenses                       |      | 481,055.00               | -                    | 481,055.00               |
| Non-Accountable Forms Expenses                   |      | 1,406,700.00             | -                    | 1,406,700.00             |
| Animal/Zoological Supplies Expenses              | y    | 4,623,126.40             | 24,363,751.44        | 28,986,877.84            |
| Food Supplies Expenses                           | z    | 126,359,324.40           | 60,984,222.63        | 187,343,547.03           |
| Welfare Goods Expenses                           |      | 695,702,085.00           | -                    | 695,702,085.00           |
| Drugs and Medicines Expenses                     | aa   | 359,293,146.84           | 1,542,215.00         | 360,835,361.84           |
| Medical, Dental and Laboratory Supplies Expenses | bb   | 425,577,856.30           | 21,318,905.00        | 446,896,761.30           |

| <b>Accounts</b>                                          | <b>Note</b> | <b>Previously Reported</b> | <b>Adjustments</b>      | <b>Restated</b>          |
|----------------------------------------------------------|-------------|----------------------------|-------------------------|--------------------------|
| Fuel, Oil and Lubricants Expenses                        | cc          | 60,900,381.55              | 5,873,890.00            | 66,774,271.55            |
| Textbooks and Instructional Materials Expenses           |             | 375,589,104.76             | -                       | 375,589,104.76           |
| Other Supplies and Materials Expenses                    | dd          | 821,550,711.12             | 135,531,494.63          | 957,082,205.75           |
| Water Expenses                                           | ee          | 219,585,379.97             | 1,435,329.33            | 221,020,709.30           |
| Electricity Expenses                                     | ff          | 583,277,072.78             | 62,727.77               | 583,339,800.55           |
| Postage and Courier Services                             |             | 9,000.00                   | -                       | 9,000.00                 |
| Telephone Expenses                                       | gg          | 15,306,401.84              | 211,153.60              | 15,517,555.44            |
| Internet Subscription Expenses                           | hh          | 20,804,801.90              | 14,491,116.80           | 35,295,918.70            |
| Awards/Rewards Expenses                                  |             | 3,779,050.00               | -                       | 3,779,050.00             |
| Prizes                                                   |             | 70,500.00                  | -                       | 70,500.00                |
| Confidential Expenses                                    |             | 120,000,000.00             | -                       | 120,000,000.00           |
| Extraordinary and Miscellaneous Expenses                 | ii          | 19,520,948.57              | 2,005,560.00            | 21,526,508.57            |
| Auditing Services                                        | jj          | 2,083,738.75               | 132,923.00              | 2,216,661.75             |
| Consultancy Services                                     | kk          | 55,509,906.98              | 6,152,069.99            | 61,661,976.97            |
| Other Professional Services                              | ll          | 468,301,542.88             | 8,332,230.90            | 476,633,773.78           |
| Environment/Sanitary Services                            | mm          | 966,804,904.50             | 5,356,629.19            | 972,161,533.69           |
| Janitorial Services                                      | nn          | 61,544,446.59              | 63,746,787.61           | 125,291,234.20           |
| Security Services                                        | oo          | 83,084,589.42              | 13,348,293.72           | 96,432,883.14            |
| Other General Services                                   | pp          | 1,130,252,766.27           | 143,232,319.30          | 1,273,485,085.57         |
| Repairs and Maintenance - Infrastructure Assets          |             | 55,560,166.00              | -                       | 55,560,166.00            |
| Repairs and Maintenance - Buildings and Other Structures |             | 598,804.00                 | -                       | 598,804.00               |
| Repairs and Maintenance - Machinery and Equipment        | qq          | 1,284,418.40               | 687,840.00              | 1,972,258.40             |
| Repairs and Maintenance - Transportation Equipment       | rr          | 75,850.00                  | 66,500.00               | 142,350.00               |
| Repairs and Maintenance - Furniture and Fixtures         |             | 49,975.00                  | -                       | 49,975.00                |
| Taxes, Duties and Licenses                               | ss          | 3,358,177.06               | 11,963.00               | 3,370,140.06             |
| Fidelity Bond Premiums                                   |             | 1,434,154.01               | -                       | 1,434,154.01             |
| Insurance Expenses                                       |             | 32,749,881.07              | -                       | 32,749,881.07            |
| Advertising Expenses                                     | tt          | 29,007,902.72              | 502,010.30              | 29,509,913.02            |
| Printing and Publication Expenses                        | uu          | 12,152,078.96              | 1,845,690.00            | 13,997,768.96            |
| Representation Expenses                                  |             | 37,952,605.33              | -                       | 37,952,605.33            |
| Rent Expenses                                            | vv          | 22,267,126.20              | 4,995,438.16            | 27,262,564.36            |
| Membership Dues and Contributions to Organizations       |             | 1,744,502.08               | -                       | 1,744,502.08             |
| Subscription Expenses                                    |             | 162,171.00                 | -                       | 162,171.00               |
| Donations                                                | ww          | 1,351,784,592.54           | 350,876,941.37          | 1,702,661,533.91         |
| Other Maintenance and Operating Expenses                 | xx          | 1,529,425,348.19           | 239,542,725.31          | 1,768,968,073.50         |
| <b>Total Maintenance and Operating Expenses</b>          |             | <b>9,853,054,702.52</b>    | <b>1,152,655,737.35</b> | <b>11,005,710,439.87</b> |
| Interest Expenses                                        |             | 731,165,867.57             | -                       | 731,165,867.57           |

| <b>Accounts</b>                                                 | <b>Note</b> | <b>Previously Reported</b> | <b>Adjustments</b>        | <b>Restated</b>          |
|-----------------------------------------------------------------|-------------|----------------------------|---------------------------|--------------------------|
| Bank Charges                                                    |             | 120,000.00                 | -                         | 120,000.00               |
| <b>Total Financial Expenses</b>                                 |             | <b>731,285,867.57</b>      | -                         | <b>731,285,867.57</b>    |
| Depreciation - Land Improvements                                |             | 2,504,105.48               | -                         | 2,504,105.48             |
| Depreciation - Infrastructure Assets                            |             | 652,755.18                 | -                         | 652,755.18               |
| Depreciation - Buildings and Other Structures                   |             | 850,303,501.60             | -                         | 850,303,501.60           |
| Depreciation - Machinery and Equipment                          |             | 628,920,878.19             | -                         | 628,920,878.19           |
| Depreciation - Transportation Equipment                         |             | 93,708,192.64              | -                         | 93,708,192.64            |
| Depreciation - Furniture, Fixtures and Books                    |             | 6,442,701.93               | -                         | 6,442,701.93             |
| Depreciation - Other Property, Plant and Equipment              |             | 75,097,269.99              | -                         | 75,097,269.99            |
| <b>Total Non-Cash Expenses</b>                                  |             | <b>1,657,629,405.01</b>    | -                         | <b>1,657,629,405.01</b>  |
| <b>Total Current Operating Expenses</b>                         |             | <b>17,462,230,348.47</b>   | <b>1,209,267,565.34</b>   | <b>18,671,497,913.81</b> |
| <b>Surplus (Deficit) From Current Operations</b>                |             | <b>3,827,715,058.46</b>    | <b>(1,209,956,930.96)</b> | <b>2,617,758,127.50</b>  |
| <b>Transfers, Assistance and Subsidy</b>                        |             |                            |                           |                          |
| Subsidy from National Government                                |             | 26,892,809.75              | -                         | 26,892,809.75            |
| Subsidies - Others                                              |             | (328,616,000.00)           | -                         | (328,616,000.00)         |
| Transfers of Unspent Current Year DRRM Funds to the Trust Funds |             | (522,651,487.40)           | -                         | (522,651,487.40)         |
| <b>Net Financial Assistance/Subsidy</b>                         |             | <b>(824,374,677.65)</b>    | -                         | <b>(824,374,677.65)</b>  |
| <b>Surplus (Deficit) for the Period</b>                         |             | <b>3,003,340,380.81</b>    | <b>(1,209,956,930.96)</b> | <b>1,793,383,449.85</b>  |

- (a) Pertains to the reclassification of hospital fees for CY 2022 duly collected and recognized in CY 2023.
- (b) Pertains to the reclassification of Sale of unserviceable PPE for CY 2022 duly recorded and recognized in CY 2023.
- (c) *Salaries and Wages - Regular* – The net effect of various transactions pertaining to CY 2023, such as payment of salaries of permanent employees and collection from refund of overpayment of salaries under different offices of City.
- (d) *Salaries and Wages - Casual/Contractual* – The net effect of various transactions pertaining to CY 2023, such as payment of salaries of casual/contractual employees and collection from refund of overpayment of salaries under different offices of City.

- (e) *Personal Economic Relief Allowance (PERA)* - Restatement due to refund of overpayment of PERA of various permanent employees recognized as expenses for prior years.
- (f) *Clothing/Uniform Allowance* - Restatement due to recognition of prior year's Clothing/Uniform Allowance paid in CY 2024 and refund of Clothing Allowance that was recorded in prior years.
- (g) Restatement due to underpayment of *Subsistence Allowance* for CY 2023 paid in CY 2024.
- (h) Restatement due to payment of *Productivity Incentive Allowance* of certain employees which were not included in CY 2023 paid in CY 2024.
- (i) Restatement due to recognition of *Honoraria* for CY 2023 for various permanent employees of the City which was paid in CY 2024.
- (j) Restatement due to underpayment of *Hazard Pay* for CY 2023 paid in CY 2024.
- (k) *Longevity Pay* – Net effect for the payment of Longevity differential and refund of overpayment to various permanent employees of the City.
- (l) Net effect from payment for the overtime service rendered of various permanent employees charged against prior period appropriations and adjustment of previously recorded overtime expenses.
- (m) Net effect from payment during the year for *Year End Bonus* of various permanent employees charged against prior period appropriations.
- (n) Net effect from payment during the year for *Cash Gift* of various permanent employees charged against prior period appropriations.
- (o) *Other Bonuses and Allowances* – Restatement due to refund of overpayment of Other Bonuses and Allowance of various permanent employees recognized as expenses for prior years.
- (p) *Retirement and Life Insurance Premiums* – The net effect of various transactions pertaining to CY 2023, such as payment of salaries of permanent/casual/contractual employees and collection from refund of overpayment of salaries under different offices of City with corresponding government share.
- (q) *Pag-IBIG Contributions* – The net effect of various transactions pertaining to CY 2023, such as payment of salaries of permanent/casual/contractual employees and collection from refund of overpayment of salaries under different offices of City with corresponding government share.
- (r) *PhilHealth Contributions* – The net effect of various transactions pertaining to CY 2023, such as payment of salaries of permanent/casual/contractual

employees and collection from refund of overpayment of salaries under different offices of City with corresponding government share.

- (s) *Employees Compensation Insurance Premiums* – The net effect of various transactions pertaining to CY 2023, such as payment of salaries of permanent/casual/contractual employees and collection from refund of overpayment of salaries under different offices of City with corresponding government share.
- (t) This pertains to the payment during the year for *Terminal Leave Benefits* of various employees charged against prior period appropriations CY 2023.
- (u) This pertains to the payment during the year for *Other Personnel Benefits* of various employees charged against prior period appropriations CY 2023.
- (v) *Traveling Expenses - Local* – This pertains to the cash advances drawn in CY 2023 related to traveling expenses - local in connection with the performance of their duties of various authorized employees but liquidated in CY 2024.
- (w) *Training Expenses* – This pertains to the cash advances drawn in CY 2023 related to training expenses of various authorized employees but liquidated in CY 2024.
- (x) *Office Supplies Expenses* – This pertains to the recognition of expenses related to the SSMI received and duly recorded in CY 2024 pertaining to expense for CY 2023.
- (y) *Animal/Zoological Supplies Expenses* – This pertains to the recognition of expenses related to the SSMI received and duly recorded in CY 2024 pertaining to expense for CY 2023.
- (z) *Food Supplies Expenses* – This pertains to the recognition of expenses related to the SSMI received and duly recorded in CY 2024 pertaining to expense for CY 2023.
- (aa) *Drugs and Medicines Expenses* – This pertains to the recognition of expenses related to the SSMI received and duly recorded in CY 2024 pertaining to expense for CY 2023.
- (bb) *Medical, Dental and Laboratory Supplies Expenses* – This pertains to the recognition of expenses related to the SSMI received and duly recorded in CY 2024 pertaining to expense for CY 2023.
- (cc) *Fuel, Oil and Lubricants Expenses* – This pertains to the recognition of expenses related to the SSMI received and duly recorded in CY 2024 pertaining to expense for CY 2023.
- (dd) *Other Supplies and Materials Expenses* – This pertains to the recognition of expenses related to the SSMI received and duly recorded in CY 2024 pertaining to expense for CY 2023.

- (ee) *Water Expenses* – This pertains to the recognition of accounts payable for CY 2023 paid in CY 2024.
- (ff) *Electricity Expenses* – This pertains to the recognition of accounts payable for CY 2023 paid in CY 2024.
- (gg) *Telephone Expenses* – This pertains to the recognition of accounts payable for CY 2023 paid in CY 2024.
- (hh) *Internet Subscription Expenses* – This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.
- (ii) *Extraordinary and Miscellaneous Expenses* – This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.
- (jj) *Auditing Services* – This pertains to services rendered related to Audit Services for CY 2023 paid in CY 2024.
- (kk) *Consultancy Services* – This pertains to services rendered related to Consultancy Services for CY 2023 paid in CY 2024.
- (ll) *Other Professional Services* – This pertains to services rendered related to Other Professional Services for CY 2023 paid in CY 2024.
- (mm) *Environment/Sanitary Services* – This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.
- (nn) *Janitorial Services* – This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.
- (oo) *Security Services* – This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.
- (pp) *Other General Services* – This pertains to the liquidation of cash advances in CY 2024 related to the payment of services rendered of various Job Order employees in CY 2023. It includes those services rendered that remained unpaid during the year.
- (qq) *Repairs and Maintenance - Machinery and Equipment* – This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.
- (rr) *Repairs and Maintenance - Transportation Equipment* – This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.
- (ss) *Taxes, Duties and Licenses* – This pertains to the final liquidation of cash advance related to LTO registration fees for CY 2023.

- (tt) *Advertising Expenses* – This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.
- (uu) *Printing and Publication Expenses* – This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.
- (vv) *Rent Expenses* – This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.
- (ww) *Donations* – This pertains to the liquidation of cash advances in CY 2024 related to the various social amelioration of the City for CY 2023. It also includes those were not included in listings in the year mentioned.
- (xx) This pertains to the recognition of accounts payable to various suppliers for CY 2023 paid in CY 2024.

**Statement of Changes in Net Assets/Equity – Restated (All Funds)  
For the Year Ended December 31, 2023**

| Particulars                                      | Previously Reported      | Adjustments             | Restated                 |
|--------------------------------------------------|--------------------------|-------------------------|--------------------------|
| Balance at January 1                             | 47,302,326,508.47        | 1,209,956,930.96        | 48,512,283,439.43        |
| Add (Deduct):                                    |                          |                         |                          |
| Prior Period Adjustment                          | -                        |                         | -                        |
| <b>Restated Balance</b>                          | <b>47,302,326,508.47</b> | <b>1,209,956,930.96</b> | <b>48,512,283,439.43</b> |
| <b>Add (Deduct) Changes in net assets/equity</b> |                          |                         |                          |
| Surplus (Deficit) for the period                 | 3,003,340,380.81         | (1,209,956,930.96)      | 1,793,383,449.85         |
| <b>Balance at December 31</b>                    | <b>50,305,666,889.28</b> | <b>-</b>                | <b>50,305,666,889.28</b> |

**Note 32 – Statement of Comparison of Budget and Actual Amounts**

During the year, the City incurred a total amount of P18,052,792,341.84 as actual expenditures which includes continuing appropriations of P1,575,673,278.58. Such amounts were appropriated from the original and final budget of P25,884,000,000.00 for the current year.



**Note 33 – Supplementary Information Required Under BIR Revenue Regulation**

In compliance with BIR Revenue Regulation 15-2010, the following supplementary information were provided to BIR:

Amount of taxes withheld and paid CY 2024 are as follows:

| <b>Particulars</b>                    | <b>Beginning Balances</b> | <b>Amount of Taxes withheld during the year</b> | <b>Amount of Taxes paid for the year</b> | <b>Ending Balance</b> |
|---------------------------------------|---------------------------|-------------------------------------------------|------------------------------------------|-----------------------|
| Creditable Withholding Tax            | 358,624,542.90            | 183,661,332.37                                  | 172,439,783.75                           | 369,846,091.52        |
| Final Withholding Tax (including VAT) | 73,218,730.77             | 490,977,127.36                                  | 405,353,434.10                           | 158,842,424.03        |
| Tax on Compensation                   | 41,009,194.15             | 300,348,463.44                                  | 292,803,626.50                           | 48,554,031.09         |
| <b>Total</b>                          | <b>472,852,467.82</b>     | <b>974,986,923.17</b>                           | <b>870,596,844.35</b>                    | <b>577,242,546.64</b> |

**Note 34 – Other Regulatory Requirements**

Amount of withheld and remitted CY 2024 for GSIS, PhilHealth and Pag-IBIG are as follows:

| <b>Particulars</b> | <b>Beginning Balances</b> | <b>Amount withheld during the year</b> | <b>Amount remitted for the year</b> | <b>Ending Balance</b> |
|--------------------|---------------------------|----------------------------------------|-------------------------------------|-----------------------|
| GSIS               | 125,629,523.13            | 1,170,090,478.24                       | 1,134,304,224.09                    | 161,415,777.28        |
| PhilHealth         | 33,703,263.13             | 168,132,068.12                         | 158,313,748.56                      | 43,521,582.69         |
| Pag-IBIG           | 27,857,816.61             | 102,156,627.14                         | 86,435,915.88                       | 43,578,527.87         |
| <b>Total</b>       | <b>187,190,602.87</b>     | <b>1,440,379,173.50</b>                | <b>1,379,053,888.53</b>             | <b>248,515,887.84</b> |